

UNITED STATES SECURITIES AND EXCHANGE COMMISSION
Washington, D. C. 20549

FORM 10-K

☒ ANNUAL REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934

For the fiscal year ended December 31, 2025

or

☐ TRANSITION REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934

For the transition period from _____ to _____

Commission File Number 1-2451

NATIONAL PRESTO INDUSTRIES, INC.
(Exact name of registrant as specified in its charter)

Wisconsin
(State or other jurisdiction of
incorporation or organization)

39-0494170
(IRS Employer
Identification Number)

3925 North Hastings Way
Eau Claire, Wisconsin
(Address of principal executive offices)

54703-3703
(Zip Code)

Registrant's telephone number, including area code: (715) 839-2121

Securities registered pursuant to Section 12(b) of the Act:

Title of each class	Trading Symbol(s)	Name of each exchange on which registered
\$1.00 par value common stock	NPK	New York Stock Exchange

Securities registered pursuant to Section 12(g) of the Act:

NONE

Indicate by check mark if the registrant is a well-known seasoned issuer, as defined in Rule 405 of the Securities Act. Yes ☐ No ☒

Indicate by check mark if the registrant is not required to file reports pursuant to Section 13 or Section 15(d) of the Act. Yes ☐ No ☒

Indicate by check mark whether the registrant (1) has filed all reports required to be filed by Section 13 or 15 (d) of the Securities Exchange Act of 1934 during the preceding 12 months (or for such shorter period that the registrant was required to file such reports), and (2) has been subject to such filing requirements for the past 90 days. Yes ☒ No ☐

Indicate by check mark whether the registrant has submitted electronically every Interactive Data File required to be submitted pursuant to Rule 405 of Regulation S-T (§232.405 of this chapter) during the preceding 12 months (or for such shorter period that the registrant was required to submit such files). Yes ☒ No ☐

Indicate by check mark whether the registrant is a large accelerated filer, an accelerated filer, a non-accelerated filer, smaller reporting company, or an emerging growth company. See definitions of "large accelerated filer," "accelerated filer," "smaller reporting company," and "emerging growth company" in Rule 12b-2 of the Exchange Act.

Large accelerated filer ☐ Accelerated filer ☒ Non-accelerated filer ☐ Smaller reporting company ☐ Emerging growth company ☐

If an emerging growth company, indicate by check mark if the registrant has elected not to use the extended transition period for complying with any new or revised financial accounting standards provided pursuant to Section 13(a) of the Exchange Act. ☐

Indicate by check mark whether the registrant has filed a report on and attestation to its management's assessment of the effectiveness of its internal control over financial reporting under Section 404(b) of the Sarbanes-Oxley Act (15 USC 7262(b)) by the registered public accounting firm that prepared or issued its audit report. ☒

If securities are registered pursuant to Section 12(b) of the Act, indicate by check mark whether the financial statements of the registrant included in the filing reflect the correction of an error to previously issued financial statements. ☐

Indicate by check mark whether any of those error corrections are restatements that required a recovery analysis of incentive-based compensation received by any of the registrant's executive officers during the relevant recovery period pursuant to §240.10D-1(b). ☐

Indicate by check mark whether the registrant is a shell company (as defined in Rule 12b-2 of the Act). Yes ☐ No ☒

State the aggregate market value of the voting and non-voting common equity held by non-affiliates computed by reference to the price at which the common equity was last sold, or the average bid and asked price of such common equity, as of the last business day of the registrant's most recently completed second fiscal quarter: \$504,328,539. The number of shares outstanding of each of the registrant's classes of common stock, as of March 9, 2026 was 7,164,352.

The Registrant has incorporated in Part II and Part III of Form 10-K, by reference, portions of its 2025 Annual Report and portions of its Proxy Statement for its 2026 Annual Meeting of Stockholders.

[Table of Contents](#)**TABLE OF CONTENTS**

	Page
PART I	3
Item 1 – Business	3
Item 1A – Risk Factors	8
Item 1B – Unresolved Staff Comments	14
Item 1C – Cybersecurity	14
Item 2 – Properties	14
Item 3 – Legal Proceedings	14
Item 4 – Mine Safety Disclosures	14
PART II	15
Item 5 – Market for Registrant’s Common Equity, Related Stockholder Matters and Issuer purchases of Equity Securities	15
Item 7 – Management’s Discussion and Analysis of Financial Condition and Results of Operations	16
Item 7A – Quantitative and Qualitative Disclosures About Market Risk	22
Item 8 – Financial Statements and Supplementary Data	23
Item 9 – Changes in and Disagreements with Accountants on Accounting and Financial Disclosure	23
Item 9A – Controls and Procedures	23
Item 9B – Other Information	25
PART III	26
Item 10 – Directors, Executive Officers and Corporate Governance	26
Item 11 – Executive Compensation	27
Item 12 – Security Ownership of Certain Beneficial Owners and Management and Related Stockholder Matters	27
Item 13 – Certain Relationships and Related Transactions, and Director Independence	27
Item 14 – Principal Accountant Fees and Services	27
PART IV	28
Item 15 – Exhibits and Financial Statement Schedules	28
Item 16 – Form 10-K Summary	29
Signatures	30

[Table of Contents](#)**PART I****ITEM 1. BUSINESS****A. DESCRIPTION OF BUSINESS**

The business of National Presto Industries, Inc. (the “Company” or “National Presto”) consists of three business segments. For a further discussion of the Company’s business, the segments in which it operates, and financial information about the segments, please refer to Note L to the Consolidated Financial Statements. The Housewares/Small Appliance segment designs, markets and distributes housewares and small electrical appliances, including pressure cookers and canners, kitchen electrics, and comfort appliances that enrich the lives of consumers by making life easier, more productive and more enjoyable. The Defense segment protects the lives of the citizens of our nation, as well as the citizens of our nation’s allies, by providing our warfighters with reliable products. It manufactures 40mm ammunition, precision mechanical and electro-mechanical assemblies, medium caliber cartridge cases and metal parts; performs Load, Assemble and Pack (LAP) operations on ordnance-related products primarily for the United States Government and prime contractors; and manufactures detonators, booster pellets, release cartridges, lead azide, other military energetic devices and materials, and assemblies. The Safety segment provides innovative safety technology empowering organizations and individuals to protect what is most important. The segment's startup company, Rely Innovations, Inc., offers smoke, carbon monoxide (CO), and combo smoke/CO alarms with an array of voice messages in English and Spanish that clearly inform of incipient danger. The CO alarms have large digital displays as well. The segment also markets an economy line of carbon monoxide and smoke alarms and a PFAS-Free Foam commercial fire extinguisher.

1. Housewares/Small Appliance Segment

Housewares and electrical appliances sold by the segment include pressure cookers and canners; the Presto Control Master® heat control line of skillets in several sizes, griddles, woks and multi-purpose cookers; slow cookers; deep fryers of various sizes; waffle makers; pizza ovens; slicer/shredders; electric heaters; corn poppers (hot air, oil, and microwave); dehydrators; vacuum sealers; microwave bacon cookers; coffeemakers and coffeemaker accessories; electric knife sharpeners; and timers. Pressure cookers and canners are available in a range of sizes, in stovetop and digital forms, and are made from aluminum and/or stainless steel.

For the year ended December 31, 2025, approximately 9% of consolidated net sales were provided by cast products (griddles, waffle makers, die cast deep fryers, skillets and multi-cookers), and approximately 9% by noncast/thermal appliances (stamped cookers and canners, pizza ovens, corn poppers, coffee makers, microwave bacon cookers, dehydrators, slow cookers, electric stainless steel appliances, non-cast fryers, air fryers and heaters). For the year ended December 31, 2024, approximately 10% of consolidated net sales were provided by cast products, and approximately 15% by noncast/thermal appliances. For the year ended December 31, 2023, approximately 9% of consolidated net sales were provided by cast products, and approximately 18% by noncast/thermal appliances. For the year ended December 31, 2025, this segment had no customers that accounted for 10% of the Company’s consolidated net sales. For the years ended December 31, 2024 and 2023, Amazon.com, Inc. accounted for 10% and 11%, respectively, of the Company’s consolidated net sales. The loss of Amazon.com, Inc. as a customer would have a material adverse effect on the Company.

[Table of Contents](#)

Products are sold primarily in the United States and Canada directly to retailers and also through independent distributors. Although the segment has long established relationships with many of its customers, it does not have long-term supply contracts with them. The loss of, or material reduction in, sales to any of the segment's major customers could adversely affect the segment's business. The majority of the housewares and electrical appliances are sourced from vendors in the Orient. (See Note J to the Consolidated Financial Statements.)

The segment has a sales force of six employees that sell to and service most customers. A few selected accounts are handled by manufacturers' representatives who may also sell other product lines. Sales promotional activities have been conducted primarily through the use of in store promotions and digital advertising. The business is seasonal, with the normal peak sales period occurring in the fourth quarter of the year prior to the holiday season. This segment operates in a highly competitive and extremely price sensitive environment. Increased costs that cannot be fully absorbed into the price of products or passed along in the form of price increases to the retail customer can have a significant adverse impact on operating results. Several companies compete for sales of housewares and small electrical appliances, some of which are larger than the Company's segment and others which are smaller. In addition, some customers maintain their own private label, as well as purchase brokered product directly from the Orient. Product competition extends to special product features, product pricing, product quality, marketing programs, warranty provisions, service policies and other factors. New product introductions are an important part of the segment's sales to offset the morbidity rate of other products and/or the effect of lowered acceptance of seasonal products due to weather conditions. New products entail unusual risks. Engineering and tooling costs are increasingly expensive, as are finished goods that may not have a ready market or achieve widespread consumer acceptance. High-cost advertising commitments which may accompany such new products or may be required to maintain sales of existing products may not be fully absorbed by ultimate product sales. Initial production schedules, set in advance of introduction, carry the possibility of excess unsold inventories. New product introductions are further subject to delivery delays from supply sources, which can impact availability during the segment's most active selling periods.

Research and development costs related to new product development for the years 2025, 2024, and 2023 were expensed in operations of these years and were not a material element in the aggregate costs incurred by the Company.

Products are generally warranted to the original owner to be free from defects in material and workmanship for a period of one to twelve years from date of purchase, depending on the product. The segment allows a sixty-day over-the-counter initial return privilege through cooperating dealers. Products are serviced through a corporate service repair operation. The segment's service and warranty programs are competitive with those offered by other manufacturers in the industry.

The segment primarily warehouses and distributes its products from distribution centers located in Canton and Nettleton, Mississippi. Selective use is made of leased tractors and trailers.

The Company invests funds not currently required for business activities (see Note A(6) to the Consolidated Financial Statements). Income from invested funds is included in Other Income in the accompanying Consolidated Statements of Comprehensive Income.

[Table of Contents](#)

Earnings from investments may vary significantly from year to year depending on interest yields on instruments meeting the Company's investment criteria, and the extent to which funds may be needed for internal growth, acquisitions, newly identified business activities, and reacquisition of Company stock.

2. Defense Segment

Each of the segment's operating companies are subsidiaries of National Defense Corporation.

AMTEC Corporation ("AMTEC") was acquired on February 24, 2001, and manufactures 40mm ammunition, and precision mechanical and electro-mechanical products for the United States Department of Defense (DOD) and DOD prime contractors. AMTEC's 131,000 square foot manufacturing facility located in Janesville, Wisconsin, is focused on producing niche market ordnance products (such as training ammunition, fuzes, firing devices, and initiators). AMTEC is also the prime contractor for the 40mm ammunition system to the DOD (more fully described below).

Spectra Technologies LLC ("Spectra"), a subsidiary of AMTEC, was acquired on July 31, 2003, and is engaged in the manufacture and delivery of munitions and ordnance-related products for the DOD and DOD prime contractors. Spectra maintains 384,000 square feet of space located in East Camden, Arkansas, dedicated primarily to LAP type work.

Amron, a division of AMTEC ("Amron"), holds the assets that were purchased from Amron LLC on January 30, 2006. Amron manufactures cartridge cases used in medium caliber ammunition (20mm, 25mm, 30mm, 40mm, and 50mm) primarily for the DOD and DOD prime contractors, which includes the 40mm systems program previously mentioned and referenced below. The Amron manufacturing facility is 212,000 square feet and is located in Antigo, Wisconsin.

Tech Ord, a division of AMTEC ("Tech Ord"), holds the assets formerly owned by Chemring Energetic Devices, Inc.'s business located in Clear Lake, South Dakota and all of the real property previously owned by Technical Ordnance Realty, LLC. These assets were acquired on January 24, 2014. Tech Ord manufactures in its 124,000 square foot Clear Lake facility detonators, booster pellets, release cartridges, lead azide, and other military energetic devices and materials. Its major customers include United States and foreign government agencies, AMTEC, and other defense contractors.

The equity interests of Woodlawn Manufacturing, Ltd. ("Woodlawn"), a subsidiary of National Defense Corporation and its newly formed subsidiary, Woodlawn Manufacturing LLC, were acquired on October 26, 2022. Woodlawn is engaged in the manufacture of metal parts and assemblies primarily for the DOD and DOD prime contractors. The Woodlawn manufacturing facility is 77,000 square feet and is located in Marshall, Texas.

The Defense segment competes for its business primarily on the basis of technical competence, product quality, manufacturing experience, and price. This segment operates in a highly competitive environment with many other organizations, some of which are larger and others that are smaller.

[Table of Contents](#)

On April 25, 2005, AMTEC was awarded the high volume, five-year prime contract for management and production of the United States Army's (the "Army") 40mm Ammunition System. The Army selected AMTEC as one of two prime contractors responsible for supplying all requirements for 40mm practice and tactical ammunition for a period of five years, with AMTEC receiving the majority share of the business. Deliveries under the contract exceeded \$671,000,000, with final deliveries completed in 2013. On February 18, 2010, the Army awarded AMTEC a second five-year contract for the management and production of the 40mm Ammunition System. As in the original five-year contract, AMTEC was awarded the majority share of the 40mm requirement. Deliveries under this contract exceeded \$566,000,000, with the final deliveries completed in 2018. In addition, as part of an acquisition of a group of assets from DSE, Inc., a 40mm competitor, which was completed on November 7, 2013, AMTEC acquired through a novation agreement an additional \$188,000,000, representing the remaining undelivered portion of the award that had been given to AMTEC's competitor under the second five-year contract mentioned above. Total deliveries for the systems program under the novated DSE, Inc. 40mm contract were completed in 2018. AMTEC submitted its bid for a third contract, and although the FY15 (Army's fiscal year beginning October 1, 2014) bid request was subsequently cancelled, the 40mm program requirements remained and were subsequently awarded to AMTEC as the Army's FY16 40mm requirements in a single award valued at \$84,750,000. Final deliveries for the FY16 contract were completed in 2019. On August 30, 2017, the Army awarded AMTEC, as the sole prime contractor, a third five-year 40mm system contract covering FY17-21 requirements. The value of awards for the FY17 through FY21 requirements is approximately \$539,600,000, with deliveries scheduled to complete in 2026. On September 23, 2022, the Army awarded AMTEC, as the sole prime contractor, a fourth five-year 40mm system contract covering FY22-26 requirements. The value of awards to date is approximately \$965,000,000 for FY22 through FY25, with deliveries commencing in 2024 and scheduled to complete in 2030. One award year (FY26) remains, with the maximum ceiling value of the contract at \$1,413,000,000. Actual annual and cumulative dollar volume with the Army over the course of the contract will be dependent upon military requirements and funding, as well as government procurement regulations and other factors controlled by the Army and the DOD.

On May 13, 2024, the Army awarded AMTEC a five-year Indefinite Delivery Indefinite Quantity (IDIQ) contract for production of the 40mm M918E2 High Velocity Target Practice - Day/Night/Thermal (TP-DNT) cartridge. The M918E2 TP-DNT Cartridge allows the warfighters to train as they fight by delivering a projectile whose impact signature can be seen day or night, by unaided eye, and through current thermal and night vision sights. The value of awards to date is approximately \$256,000,000, with deliveries commencing in 2025 and scheduled to complete in 2027. The maximum ceiling value of the IDIQ contract is \$818,900,000. Actual annual and cumulative dollar volume with the Army over the course of the contract will be dependent upon military requirements and funding, as well as government procurement regulations and other factors controlled by the Army and the DOD.

During 2025, almost all of the work performed by this segment directly or indirectly for the DOD was performed on a fixed-price basis. Under fixed-price contracts, the price paid to the contractor is usually awarded based on competition or negotiation at the outset of the contract and therefore is generally not subject to adjustments reflecting the actual costs incurred by the contractor, with the exception of some limited escalation clauses, which on the 2017 and 2022 contracts apply to only three materials – steel, aluminum and zinc. The Defense segment's contracts and subcontracts contain the customary provision permitting termination at any time for the convenience of the government, with payment for any work completed, associated profit and inventory/work in progress at the time of termination. The segment's business does not tend to be seasonal.

3. Safety Segment

The Safety segment was formed in the third quarter of 2019 with the purchase of substantially all of the assets of OneEvent Technologies, Inc. ("OneEvent") on July 23, 2019, and was combined with Rusoh, Inc., which had previously been included in the Housewares/Small Appliance segment. The Safety segment is currently comprised of Rely Innovations, Inc. ("Rely"). To focus the direction of the segment's business, the Company divested the stock of Rusoh, Inc. on November 14, 2023 and certain assets of OneEvent related to its refrigeration monitoring business on July 31, 2025. The OneEvent intellectual property, however, has been retained. See Note L of the Consolidated Financial Statements.

OneEvent leases 4,300 square feet in Mount Horeb, Wisconsin. Established in 2014, OneEvent's cloud-based learning and analytics engine utilizes a series of sensing devices integrated with a cellular gateway to predict and alert in a timely fashion so that the customer has an opportunity to prevent a loss. As noted above, the certain assets of the business were divested in 2025.

The Company purchased certain assets and assumed certain liabilities of Knox Safety, Inc. on July 29, 2022, forming Rely. Rely leases 4,300 square feet in Chapel Hill, North Carolina and 5,600 square feet in Lisle, Illinois. Established

in 2019, Knox Safety designed and sold carbon monoxide detectors for residential use.

Rusoh, Inc. was formed in 2012, to design and market an owner-maintained, multipurpose, reloadable, dry chemical fire extinguisher and was the first portable owner-maintained fire extinguisher. As noted above, the business was divested in 2023.

The operations of the current business that comprises the Safety segment are startup in nature and have resulted in limited revenues. The segment has a sales force of two employees that sell to and service most customers. It also utilizes a few manufacturers' representatives who may also sell other product lines. Product competition extends to product features, product pricing, product quality, marketing programs, service policies and other factors. New product introductions are an important part of the segment's sales to enhance its product offerings. New products entail unusual risks. Engineering and tooling costs are increasingly expensive, as are finished goods that may not have a ready market or achieve widespread commercial acceptance. Securing Underwriters Laboratories (UL) and ETL certifications is a prerequisite to sales, and the process for securing certification is both expensive and time consuming. Fully tooled products are required prior to the performance of most tests. High-cost advertising commitments which may accompany such products may not be fully absorbed by ultimate product sales. Initial production schedules, set in advance of introduction, carry the possibility of excess unsold inventories. New product introductions are further subject to delivery delays from supply sources, which can impact availability to meet commitments.

[Table of Contents](#)

Research and development costs related to new product development for the years 2025, 2024, and 2023 were expensed in operations of these years.

The segment primarily warehouses and distributes its products from distribution centers located in Canton and Nettleton, Mississippi, as well as Eau Claire, Wisconsin.

B. OTHER COMMENTS

1. Sources and Availability of Materials

See Note J to the Consolidated Financial Statements.

2. Patents, Trademarks, and Licenses

Patents, trademarks and know-how are important to the Company's segments. Although the Company's current and future success does not materially depend upon the judicial protection of its intellectual property rights (patents, trademarks, trade dress copyrights and trade secrets), removal of that protection would expose the Company to competitors who seek to take advantage of the Company's innovations and proprietary rights. The Company's segments hold numerous patents, trademarks, and copyrights registered in the United States and foreign countries related to various products and methods. The Company believes its business is not dependent upon any individual patent, copyright or license, but that the Presto® trademark is material to its business.

3. Effects of Compliance with Environmental and Other Regulations

In May 1986, the Company's Eau Claire, Wisconsin site was placed on the United States Environmental Protection Agency's (EPA) National Priorities List (NPL) under the Comprehensive Environmental Response, Compensation and Liability Act of 1980 (CERCLA) because of hazardous waste deposited on the property. At year end 1998, all remediation projects at the Eau Claire, Wisconsin site had been installed, were fully operational, and restoration activities had been completed.

Based on factors known as of December 31, 2025, it is believed that the Company's environmental liability reserve will be adequate to satisfy on-going remediation operations and monitoring activities; however, should environmental agencies require additional studies or remediation projects, it is possible the existing accrual could be inadequate.

Management believes that in the absence of any unforeseen future developments, known environmental matters will not have any material effect on the results of operations or financial condition of the Company.

Like other manufacturers, the Company is subject to a broad range of federal, state, local and foreign laws and requirements, including those concerning air emissions, discharges into waterways, and the generation, handling, storage, transportation, treatment and disposal of hazardous substances and waste materials, as well as the remediation of contamination associated with releases of hazardous substances at the Company's facilities and off-site disposal locations, workplace safety and equal employment opportunities. These laws and regulations are constantly changing, and it is impossible to predict with accuracy the effect that changes to such laws and regulations may have on the Company in the future. Like other industrial concerns, the Company's manufacturing operations entail the risk of noncompliance, and there can be no assurance that the Company will not incur material costs or other liabilities as a result thereof.

The Company is also subject to various other federal, state, and local laws affecting its business, as well as a variety of regulations relating to such matters as working conditions, equal employment opportunities, and product safety. These regulations stem from regulatory bodies or laws such as the US Consumer Product Safety Commission, the US Food and Drug Administration, California's Safe Drinking Water and Toxic Enforcement Act of 1986 (Proposition 65), the US Department of Transportation, and authorities having jurisdiction for fire safety and refrigeration equipment. The Company believes it is currently in material compliance with all such applicable laws and regulations.

In addition, U.S. Government contractors are subject to extensive laws and regulations specific to the defense industry, several of which are delineated in Item 1A Risk Factors under the heading "U.S. Government contractors are subject to extensive laws and regulations applicable to the defense industry and the Company could be adversely affected by changes in and compliance with such laws and regulations, or any negative findings by the U.S. government regarding the Company's compliance with them."

4. Human Capital

As of December 31, 2025, the Company and its subsidiaries had 1,200 employees compared to 1,126 employees at the end of December 2024.

Approximately 179 employees of Amron are members of the United Steel Workers union. The most recent contract between Amron and the union is effective through February 28, 2030.

The Company provides its employees with competitive salaries and bonuses, opportunities for equity ownership, opportunities for continued learning and growth and a robust employment package that promotes well-being across all aspects of their lives, including health care, retirement planning and paid time off.

5. Industry Practices Related to Working Capital Requirements

The major portion of the Company's sales are made with terms of 60 days or shorter.

For the Housewares/Small Appliance segment, inventory levels increase in advance of the selling period for products that are seasonal, such as pressure canners, heaters, and major new product introductions. Inventory build-up also occurs to create stock levels required to support the higher sales that occur in the latter half of each year. Buying practices of the segment's customers require "just-in-time" delivery, necessitating that the segment carry large finished goods inventories.

[Table of Contents](#)

The ability to meet United States DOD demands also necessitates the carrying of large inventories in the Defense segment.

Inventory build-up also occurs in the Safety segment both for seasonal products like carbon monoxide alarms and smoke alarms, and to meet potential demand of customers that require delivery with shorter lead times.

6. Order Backlog

Shipment of most products of the Housewares/Small Appliance and Safety segments occurs within a relatively short time after receipt of the order and, therefore, there is usually no substantial order backlog. New product introductions may result in order backlogs that vary from product to product and as to timing of introduction.

The contract backlog of the Defense segment was approximately \$1,747,809,000, \$1,085,612,000, and \$564,005,000 at December 31, 2025, 2024, and 2023, respectively. Backlog is defined as the value of orders from the customer less the amount of sales recognized against the orders. It is anticipated that the backlog will be produced and shipped during an 18- to 42-month period, after December 31, 2025.

C. AVAILABLE INFORMATION

The Company has a web site at www.gopresto.com. The contents of the Company's web site are not part of, nor are they incorporated by reference into, this annual report.

ne

The Company makes available on its web site its annual reports on Form 10-K or 10-K/A and, beginning with its second quarter filing in 2011, quarterly reports on Form 10-Q or 10-Q/A. It does not provide its current reports on Form 8-K or amendments to those reports filed or furnished pursuant to Section 13(a) or 15(d) of the Exchange Act on its website. The Company does not do so because these and all other reports it files with the SEC are readily available to the public on the SEC web site at www.sec.gov and can be located with ease using the link provided on the Company's website. Upon request, the Company provides paper copies of its annual report free of charge.

ITEM 1A. RISK FACTORS

The Company's three business segments described above are all subject to a number of risk factors, the occurrence of any one or more of which could have a significant adverse impact on the business, financial condition, or results of operations of the Company as a whole.

Housewares/Small Appliance Segment:

Increases in the costs for raw materials, energy, transportation and other necessary supplies could adversely affect the results of the Company's operations.

The Company's suppliers purchase significant amounts of metals, plastics, and energy to manufacture the Company's products. Also, the cost of fuel has a major impact on transportation costs as do intermodal shipping rates. Any increased costs that cannot be fully absorbed or passed along in the form of price increases to the retail customer can have a material adverse impact on the Company's operating results.

Reliance on third-party suppliers in Asia makes this segment vulnerable to supply interruptions and foreign business risks.

The majority of the housewares/small appliance products are manufactured by a handful of third-party suppliers in Asia, primarily in the People's Republic of China. The Company's ability to continue to select and develop relationships with reliable vendors who provide timely deliveries of quality parts and products will impact its success in meeting customer demand. Most products are procured on a "purchase order" basis. As a result, the Company may be subject to unexpected changes in pricing or supply of products. There is no assurance that it could quickly or effectively replace any of its vendors if the need arose. Any significant failure to obtain products on a timely basis at an affordable cost or any significant delays or interruptions of supply may disrupt customer relationships and have a material adverse effect on the Company's business.

[Table of Contents](#)

International manufacturing is subject to significant risks, including, among others, labor unrest, adverse social, political and economic conditions, interruptions in international shipments, tariffs and other trade barriers, legal and regulatory constraints and fluctuations in currency exchange rates. An increase of tariffs on products imported from China would have a material adverse effect on the Company's business.

The Housewares/Small Appliance segment is dependent on key customers, and any significant decline in business from one or more of its key customers could adversely affect the segment's operating results.

Although the Company has a long-established relationship with its major customers, it does not have any long-term supply agreements or guaranties of minimum purchases. As a result, the customers may fail to place anticipated orders, change planned quantities, delay purchases, or change product assortments for reasons beyond the Company's control, which could prove detrimental to the segment's operating results.

The sales for this segment are highly seasonal and dependent upon the United States retail markets and consumer spending.

Traditionally, this segment has recognized a substantial portion of its sales during the holiday selling season. Any downturn in the general economy, shift in consumer spending away from its housewares/small appliances, or further deterioration in the financial health of its customer base could adversely affect sales and operating results.

The Company may not be successful in developing and introducing new and improved consumer products.

The development and introduction of new housewares/small appliance products is very important to the Company's long-term success. The ability to develop new products is affected by, among other things, whether the Company can develop and fund technological innovations and successfully anticipate consumer needs and preferences, as well as the intellectual property rights of others. The introduction of new products may require substantial expenditures for advertising and marketing to gain marketplace recognition or to license intellectual property. There is no guarantee that the Company will be aware of all relevant intellectual property in the industry and may be subject to claims of infringement, which could preclude it from producing and selling a product. Likewise, there is no guarantee that the Company will be successful in developing products necessary to compete effectively in the industry or that it will be successful in advertising, marketing and selling any new products.

[Table of Contents](#)

Product recalls or lawsuits relating to defective products could have an adverse effect on the Company, as could the imposition of industry sustainability standards.

As distributors of consumer products in the United States, the Company is subject to the Consumer Products Safety Act, which empowers the U.S. Consumer Products Safety Commission to exclude from the market products that are found to be unsafe or hazardous. Under certain circumstances, the U.S. Consumer Products Safety Commission could require the Company to repair, replace or refund the purchase price of one or more of its products, or the Company may voluntarily do so. Any repurchase or recall of products could be costly and damage the Company's reputation, as well as subject it to a sizable penalty that the Commission is empowered to impose. If the Company removed products from the market, its reputation or brands could be tarnished and it might have large quantities of finished products that could not be sold.

The Company could also face exposure to product liability claims if one of its products were alleged to have caused property damage, bodily injury or other adverse effects. It is self-insured to specified levels of those claims and maintains product liability insurance for claims above the self-insured levels. The Company may not be able to maintain such insurance on acceptable terms, if at all, in the future. In addition, product liability claims may exceed the amount of insurance coverage. Moreover, many states do not allow insurance companies to provide coverage of punitive damages, in the event such damages were imposed. Additionally, the Company does not maintain product recall insurance. As a result, product recalls or product liability claims could have a material adverse effect on the Company's business, results of operations and financial condition.

The portable appliance and floor care companies' industry association has a framework for a sustainability standard for the industry, but has yet to develop specific guidelines for implementation. When and if developed, the standards will do nothing for the environment, but will entail the addition of significant bureaucracy and outside certification fees. As such, compliance will be burdensome and expensive.

The housewares/small appliance industry continues to consolidate, which could ultimately impede the Company's ability to secure product placement at key customers.

Over the past decade, the housewares/small appliance industry has undergone significant consolidation, and, as a result, the industry primarily consists of a limited number of larger companies. Larger companies do enjoy a competitive advantage in terms of the ability to offer a larger assortment of product to any one customer. As a result, the Company may find it more difficult or lose the ability to place its products with its customers.

Defense Segment:

The Company relies primarily on sales to U.S. Government entities, and the failure to procure or the loss of a significant contract or contracts could have a material adverse effect on its results of operations.

As the Company's sales in the Defense segment are primarily to the U.S. Government and its prime contractors, it depends heavily on the contracts underlying these programs. The loss or significant reduction of a major program in which the Company participates could have a material adverse effect on the Company's results of operations.

A decline in or a redirection of the U.S. defense budget could result in a material decrease in the Defense segment sales and earnings.

Government contracts are primarily dependent upon the U.S. defense budget. During recent years, the Company's sales were augmented by increased defense spending, including supplemental appropriations for operations in Iraq and Afghanistan, areas from which the U.S. has withdrawn. More recently, they have been augmented by the Ukraine Security Assistance Initiative. Future defense budgets could be negatively affected by several factors, including U.S. Government budget deficits, administration priorities, U.S. national security strategies, a change in spending priorities, and reduction of military operations around the world. Any significant decline or redirection of U.S. military expenditures could result in a material decrease to the Company's sales and earnings.

[Table of Contents](#)

U.S. Government contracts are also dependent on the continuing availability of Congressional appropriations. Congress usually appropriates funds for a given program on a fiscal year basis even though contract performance may take more than one year. As a result, at the outset of a major program, the contract is usually incrementally funded, and additional monies are normally committed to the contract by the procuring agency only as Congress makes appropriations for future fiscal years. In addition, most U.S. Government contracts are subject to modification if funding is changed. Any failure by Congress to appropriate additional funds to any program in which the Company participates, or any contract modification as a result of funding changes, could materially delay or terminate the program. This could have a material adverse effect on the Company's results of operations.

The Company may not be able to react to increases in its costs due to the nature of its U.S. Government contracts.

Substantially all of the Company's U.S. Government contracts are fixed-price. Under fixed-price contracts, the Company agrees to perform the work for a fixed price, subject to limited escalation provisions on specified raw materials. Thus it bears the risk that any increases or unexpected costs may reduce profits or potentially cause losses on the contract, which could have a material adverse effect on results of operations and financial condition. That risk is potentially compounded by the political actions under consideration by federal and state governments, including climate change and labor regulations, which could have an impact if enacted or promulgated on the availability of affordable labor, energy and ultimately, materials, as the effects of the legislation/regulation ripple throughout the economy. In addition, products are accepted by test firing samples from a production lot. Lots typically constitute a sizable amount of product. Should a sample not fire as required by the specifications, the cost to rework or scrap the entire lot could be substantial.

The Company's U.S. Government contracts are subject to termination.

All of the Company's U.S. Government contracts can be terminated by the U.S. Government either for its convenience or if the Company defaults by failing to perform under the contract. Performance failure can occur from a myriad of factors, which include late shipments due to the inability to secure requisite raw materials or components or strikes or other labor unrest, equipment failures or quality issues, which result in products that do not meet specifications, etc. Termination for convenience provisions provide only for recovery of costs incurred and profit on the work completed prior to termination. Termination for default provisions provide for the contractor to be liable for excess costs incurred by the U.S. Government in procuring undelivered items from another source. If a termination provision is exercised, it could have a material adverse effect on the Company's business, results of operations and financial condition.

Failure of the Company's subcontractors to perform their contractual obligations could materially and adversely impact contract performance.

Key components and services are provided by third party subcontractors, several of which the segment is required to work with by government edict. Under the contract, the segment is responsible for the performance of those subcontractors, many of which it does not control. There is a risk that the Company may have disputes with its subcontractors, including disputes regarding the quality and timeliness of work performed by subcontractors. A failure by one or more of the Company's subcontractors to satisfactorily provide on a timely basis the agreed-upon supplies or perform the agreed-upon services may materially and adversely impact the Company's ability to perform its obligations as the prime contractor.

U.S. Government contractors are subject to extensive laws and regulations applicable to the defense industry and the Company could be adversely affected by changes in and compliance with such laws and regulations, or any negative findings by the U.S. government regarding the Company's compliance with them.

U.S. government contractors must comply with numerous significant procurement regulations and specific legal requirements, including a vast array of federal, state, and local laws, regulations, contract terms and requirements related to the defense industry and the Company's products and businesses. These laws and regulations include, but are not limited to, the Federal Acquisition Regulation (FAR) and Department of Defense FAR Supplement, Truthful Cost or Pricing Data Act, International Traffic in Arms Regulations/Arms Export Control Act, DOD 4145.26-M, and Bureau of Alcohol, Tobacco, Firearms and Explosives orders, rules and regulations. Although customary in government contracting, these regulations and legal requirements increase the Company's performance and compliance costs and risks. New laws, regulations or procurement requirements or changes to current ones (for example, regulations related to cybersecurity and related certification requirements, specialty metals, and conflict minerals) can significantly increase the Company's costs and risks and reduce profitability. Non-compliance with the laws,

regulations, contract terms and processes to which the Company is subject could affect its ability to compete and have a material adverse effect on the Company's financial position, results of operations and/or cash flows.

Safety Segment:

The Safety segment is comprised of businesses that are startup in nature.

The operations that comprise the Safety segment are startup in nature, and like most startups may not ultimately have the potential to be successful.

[Table of Contents](#)

Increases in the costs for raw materials, energy, transportation and other necessary supplies could adversely affect the results of the Company's operations.

The Company's suppliers purchase metals, plastics, chemicals, and energy to manufacture the Company's products. Also, the cost of fuel has a major impact on transportation costs, as do intermodal shipping rates. Any increased costs that cannot be fully absorbed or passed along in the form of price increases to the customer can have a material adverse impact on the Company's operating results.

Reliance on third-party suppliers in Asia and Mexico makes this segment vulnerable to supply interruptions and foreign business risks.

A major portion of the safety products are manufactured by a handful of third-party suppliers, some of which are in Asia, primarily in the People's Republic of China, and some in Mexico. The Company's ability to continue to select and develop relationships with reliable vendors who provide timely deliveries of quality parts and products will impact its success in meeting customer demand. Most products are procured on a "purchase order" basis. As a result, the Company may be subject to unexpected changes in pricing or supply of products. There is no assurance that it could quickly or effectively replace any of its vendors if the need arose. Any significant failure to obtain products on a timely basis at an affordable cost or any significant delays or interruptions of supply may disrupt customer relationships and have a material adverse effect on the Company's business.

In addition, international manufacturing is subject to significant risks, including, among others, labor unrest, adverse social, political and economic conditions, interruptions in international shipments, tariffs and other trade barriers, legal and regulatory constraints and fluctuations in currency exchange rates. An increase of tariffs on products imported from China would have a material adverse effect on the Company's business.

Regulatory constraints and authorities having jurisdiction has impeded and may continue to impede sales of certain of the segment's products.

The commercial sales of certain of the Safety segment's products are dependent on the approval of officials that oversee fire safety at state and local levels for use of the products in areas under their jurisdiction. The inability to obtain the approval of these officials has had and may continue to have an adverse impact on the segment's operating results.

Various products in the Safety segment are reliant upon up-to-date software, hardware, and the wireless communications infrastructure.

The effective operation of various products in the Safety segment depend on software that utilizes data obtained wirelessly via telecommunication network infrastructure. The inability of the Company to maintain software and hardware that can connect to the wireless infrastructure, failure of the wireless infrastructure, or the unavailability of cloud based data storage, could have a material adverse effect on the efficacy of the segment's products and in turn on its operating results.

[Table of Contents](#)

The segment may not be successful in developing and introducing new and improved products.

The development and introduction of new products is very important to the Company's long-term success. The ability to develop new products is affected by, among other things, whether the Company can develop and fund technological innovations and successfully anticipate customer needs and preferences, meet Underwriters Laboratories or ETL requirements and avoid infringing on the intellectual property rights of others. The introduction of new products may require substantial expenditures for advertising and marketing to gain marketplace recognition or to license intellectual property. There is no guarantee that the Company will be aware of all relevant intellectual property in the industry and may be subject to claims of infringement, which could preclude it from producing and selling a product. Likewise, there is no guarantee that the Company will be successful in developing products necessary to compete effectively in the industry or that it will be successful in advertising, marketing and selling any new products.

Acquisition Risks:

The Company may pursue acquisitions of new product lines or businesses. It may not be able to identify suitable acquisition candidates or, if suitable candidates are identified, it may not be able to complete the acquisition on commercially acceptable terms. Even if the Company is able to consummate an acquisition, the transaction would present many risks, including, among others: failing to achieve anticipated benefits or cost savings; difficulty incorporating and integrating the acquired technologies, services or products; coordinating, establishing or expanding sales, distribution and marketing functions, as necessary; diversion of management's attention from other business concerns; being exposed to unanticipated or contingent liabilities or incurring the impairment of goodwill; the loss of key employees, customers, or distribution partners; and difficulties implementing and maintaining sufficient controls, policies and procedures over the systems, products and processes of the acquired company. If the Company does not achieve the anticipated benefits of its acquisitions as rapidly or to the extent anticipated by management, there could be a material, adverse effect on the Company's business, financial condition or results of operations.

Information Technology System Failure or Security Breach Risks:

The Company relies on its information technology systems to effectively manage its business data, communications, supply chain, logistics, accounting, and other business processes. While the Company endeavors to build and sustain an appropriate technology environment, information technology systems are vulnerable to damage or interruption from circumstances beyond the Company's control, including systems failures, viruses, security breaches or cyber incidents such as intentional cyber-attacks aimed at theft of sensitive data, or inadvertent cyber-security compromises. The Company is also subject to increasing government, customer, and other cyber and security requirements, including disclosure obligations. A security breach of such systems could result in interruptions of the Company's operations, negatively impact relations with customers or employees, and expose the Company to fines and penalties, liability and litigation, any one of which could have a negative impact on the Company's business, results of operations or financial condition. The Company's insurance coverage may not be adequate to cover all the costs related to cyber security attacks or disruptions.

On March 1, 2025, the Company experienced a system outage caused by a cybersecurity incident, which is described in Item 1C CYBERSECURITY.

There can be no assurance the Company will not experience material effects from security breaches in the future. As cyber threats develop and grow, the Company may need to make significant further investments to protect data and its infrastructure, including the implementation of new computer systems or upgrades to existing systems, deployment of additional personnel and protection-related technologies, engagement of third-party consultants, and training employees. See Item 1C CYBERSECURITY for a further discussion.

Health Epidemics, Pandemics, or Similar Public Health Crises Risks:

The Company faces a wide variety of risks related to health epidemics, pandemics and similar outbreaks, especially of infectious diseases. A global health crisis like the COVID-19 pandemic has contributed to business slowdowns or shutdowns, labor shortages, supply chain challenges, changes in government spending and requirements, regulatory challenges, reductions in demand for products and services, inflationary pressures and market volatility. If a health epidemic, pandemic or similar outbreak were to occur or worsen, the Company will likely experience broad and varied impacts, including potentially to its workforce and supply chain, inflationary pressures and increased costs (which may or may not be fully recoverable or insured), contracting, production and/or distribution delays, market volatility and

other financial impacts. If any or all of these items were to occur, the Company could experience material adverse impacts on its business, financial condition, results of operations and/or cash flows.

ITEM 1B. UNRESOLVED STAFF COMMENTS

None.

ITEM 1C. CYBERSECURITY

The Company faces various cybersecurity threats. The purpose of the Company's cybersecurity program is to assess, identify, manage and mitigate cybersecurity risk while supporting the achievement of the Company's business objectives.

Under the Company's comprehensive risk management program, the board of directors (the "Board") of the Company maintains oversight of the most significant risks facing the Company, including cybersecurity risks, while senior management is responsible for the identification and prioritization of risks that are material to the Company's business, corresponding risk-mitigation efforts and day-to-day management of the Company's risk management program. At least annually, the Board receives cybersecurity briefings from senior executives.

The Company's cybersecurity program sets the framework for the Company's approach to cybersecurity. Each business segment of the Company designates individuals with appropriate qualifications and experience to be responsible for addressing cybersecurity matters, including assessing, identifying and managing risks from cybersecurity threats, with a direct reporting line to senior management. Under the Company's approach to cybersecurity, each business segment designs and operates its own information and cybersecurity program tailored to its market, customer requirements, regulatory requirements and threats. The Company's cybersecurity policy and procedures are designed to ensure senior management receives timely and adequate information regarding cybersecurity matters, including threats and incident response, as appropriate to the matter.

As part of the Company's approach to cyber risk management, the Company performs internal audits of internal processes and controls relating to cybersecurity. Every year, the Company engages third-party experts to conduct cyber penetration testing. Based on their findings and recommendations, the Company makes the appropriate updates to its cybersecurity software.

Although the Company has designed its cybersecurity program and oversight to mitigate cybersecurity risks, the Company faces unknown cybersecurity risks, threats, and attacks. On March 1, 2025, the Company experienced a system outage caused by a cybersecurity incident. Upon discovery, the Company activated its incident response team, comprised of internal personnel and external cybersecurity experts retained to assist in addressing the incident. The incident temporarily impacted the Company's operations, including shipping and receiving, some manufacturing processes, and various other back office functions, during which time the Company implemented temporary measures to maintain critical functions while systems were being restored. The Company conducted a forensic investigation and analysis to assess the potential impact and found that there were no material impacts on the Company's financial condition and results of operations.

There can be no assurance the Company will not experience material effects from security breaches in the future. As cyber threats develop and grow, the Company may need to make significant further investments to protect data and its infrastructure, including the implementation of new computer systems or upgrades to existing systems, deployment of additional personnel and protection-related technologies, engagement of third-party consultants, and training employees. See Item 1A - Risk Factors above for additional discussion of various cybersecurity risks.

ITEM 2. PROPERTIES (Owned Except Where Indicated)

The Company's Eau Claire facility is approximately 522,000 square feet, of which approximately 354,000 square feet is leased to Drylock Technologies, Ltd. Rely Innovations, Inc. rents approximately 8,000 square feet of the Eau Claire facility. The Company's corporate office occupies the balance of the space in Eau Claire. During 2018, the Company completed construction of a 30,000 square foot office building adjacent to its Eau Claire facility, which it also leases to Drylock Technologies, Ltd.

The Company's Nettleton facility, which was purchased on January 23, 2025, is approximately 507,000 square feet and will be used principally in the warehousing, distribution, and product service functions of the Housewares/Small Appliance and Safety segments. The Company plans for this facility to replace its two existing warehousing facilities located in Canton and Jackson, Mississippi. The Canton facility contains 255,000 square feet which is used primarily for warehousing and distribution and some activities for product service functions. The facility was sold on February 10, 2026 and subsequently leased back under a short term lease agreement, as the Company transitions all warehousing functions to the Nettleton facility. An additional 72,000 square feet has been leased in adjacent Canton buildings for warehousing. The Jackson facility contains 252,000 square feet, which the Company plans to divest as well.

The Company has Defense segment manufacturing facilities located in Janesville and Antigo, Wisconsin; East Camden, Arkansas; Clear Lake, South Dakota; and Marshall, Texas. The Janesville, Wisconsin facility is comprised of approximately 131,000 square feet. The Antigo, Wisconsin facility is comprised of approximately 212,000 square feet, the East Camden, Arkansas operation leases approximately 384,000 square feet, the Clear Lake, South Dakota facility is comprised of approximately 124,000 square feet which includes the Company's 2021 construction of 10,000 square feet of office space, and the Marshall, Texas facility is comprised of approximately 77,000 square feet.

The Company's Safety segment leases space in Mount Horeb, Wisconsin; Chapel Hill, North Carolina; and Lisle, Illinois. OneEvent Technologies, Inc. leases approximately 4,300 square feet for its operations in Mount Horeb and Rely Innovations, Inc. leases approximately 4,300 and 5,600 square feet for its operations in Chapel Hill, North Carolina and Lisle, Illinois, respectively.

The facilities in use for each of the Company's business segments are believed to be adequate for their ongoing business needs.

ITEM 3. LEGAL PROCEEDINGS

See Note I to the Company's Consolidated Financial Statements.

See Item 1-B-3 of this Form 10-K and Note K to the Consolidated Financial Statements for information regarding certain environmental matters.

ITEM 4. MINE SAFETY DISCLOSURES

Not applicable.

[Table of Contents](#)

PART II

ITEM 5. MARKET FOR REGISTRANT'S COMMON EQUITY, RELATED STOCKHOLDER MATTERS AND ISSUER PURCHASES OF EQUITY SECURITIES

On February 27, 2026, the Company's Board of Directors announced a regular dividend of \$1.00 per share. The dividend is payable on March 20, 2026 to the stockholders of record as of March 9, 2026.

The common stock of National Presto Industries, Inc. is traded on the New York Stock Exchange under the symbol "NPK". As of March 9, 2026, there were 209 holders of record of the Company's common stock. This number does not reflect stockholders who hold their shares in the name of broker dealers or other nominees. During the fourth quarter of 2025, the Company did not purchase any of its equity securities.

The information under the heading "Equity Compensation Plan Information," in the Company's Proxy Statement for its 2026 Annual Meeting of Stockholders, is incorporated by reference.

The line graph and related information set forth under the heading "Performance Graph" in the Company's 2025 Annual Report is incorporated by reference.

[Table of Contents](#)**ITEM 7. MANAGEMENT'S DISCUSSION AND ANALYSIS OF FINANCIAL CONDITION AND RESULTS OF OPERATIONS**

An overview of the Company's business and segments in which the Company operates and risk factors can be found in Items 1 and 1A of this Form 10-K. Forward-looking statements in this Management's Discussion and Analysis of Financial Condition and Results of Operations, elsewhere in this Form 10-K, in the Company's 2025 Annual Report to Shareholders, in the Proxy Statement for the annual meeting to be held May 19, 2026, and in the Company's press releases and oral statements made with the approval of an authorized executive officer are made pursuant to the safe harbor provisions of the Private Securities Litigation Reform Act of 1995. There are certain important factors that could cause results to differ materially from those anticipated by some of the statements made herein. Investors are cautioned that all forward-looking statements involve risks and uncertainty. In addition to the factors discussed herein and in the notes to Consolidated Financial Statements, among the other factors that could cause actual results to differ materially are the following: consumer spending and debt levels; interest rates; continuity of relationships with and purchases by major customers; product mix; the benefit and risk of business acquisitions; competitive pressure on sales and pricing; development and market acceptance of new products; increases in material, freight/shipping, tariffs, or production cost which cannot be recouped in product pricing; delays or interruptions in shipping or production; shipment of defective product which could result in product liability claims or recalls; work or labor disruptions stemming from a unionized work force; changes in government requirements, military spending, and funding of government contracts which could result, among other things, in the modification or termination of existing contracts; dependence on subcontractors or vendors to perform as required by contract; the ability of startup businesses to ultimately have the potential to be successful; the efficient start-up and utilization of capital and equipment investments; political actions of federal and state governments which could have an impact on everything from the value of the U.S. dollar vis-à-vis other currencies to the availability of affordable labor and energy; and security breaches and disruptions to our information technology system. Additional information concerning these and other factors is contained in the Company's Securities and Exchange Commission filings.

2025 COMPARED TO 2024

Readers are directed to Note L, "Business Segments," to the Company's Consolidated Financial Statements for data on the financial results of the Company's three business segments for the years ended December 31, 2025 and 2024.

On a consolidated basis, sales increased by \$115,296,000 (30%), gross profit increased by \$1,759,000 (2%), selling and general expense increased by \$4,030,000 (13%), impairment of vendor deposit increased \$2,701,000, and amortization was consistent. Other income decreased by \$3,579,000 (66%), earnings before provision for income taxes decreased by \$8,551,000 (17%), and net earnings decreased by \$8,376,000 (20%). Details concerning these changes can be found, by segment, in the comments below.

Net sales of the Housewares/Small Appliance segment decreased by \$7,195,000 (7%), from \$102,799,000 to \$95,604,000, primarily attributable to a decrease in units shipped, approximately 47% was offset by an increase in pricing. Net sales of the Defense segment increased by \$121,912,000 (43%), from \$284,025,000 to \$405,937,000, reflecting an increase in shipments from the segment's backlog. Safety segment sales increased \$579,000 to \$1,983,000, reflecting an increase in shipments.

Gross profit of the Housewares/Small Appliance segment decreased \$17,889,000 from \$25,478,000 (25% of sales) in 2024 to \$7,589,000 (8% of sales) in 2025, primarily reflecting the decrease in sales mentioned above and the Trump administration's tariffs that went into effect on goods deemed to have been shipped from the Orient after January 31, 2025. Those tariffs are generally treated as period costs and expensed as they are incurred, reflecting the segment's LIFO inventory cost valuation method. The relocation costs of the segment's distribution center from Canton to Nettleton, Mississippi also served to reduce gross profit by approximately \$1,261,000. Defense gross profit increased \$19,471,000 from \$58,173,000 (21% of sales) in 2024 to \$77,644,000 (19% of sales) in 2025, primarily reflecting the increase in sales mentioned above, as well as differences in mix efficiencies, and material costs. Due to the startup nature of the businesses in the Safety segment and resulting limited revenues, gross margins were negative in both years.

[Table of Contents](#)

Selling and general expenses for the Housewares/Small Appliance segment increased \$1,304,000, primarily reflecting increased personnel costs of \$768,000, computers and technology costs of \$266,000, and the favorable adjustment to the reserve for bad debts of \$285,000 that occurred in the prior year. Defense segment selling and general expenses increased \$3,941,000, primarily due to increased personnel costs of \$3,012,000, legal and professional expenses of \$347,000, repairs and maintenance costs of \$334,000, and computers and software expenses of \$256,000. Safety segment selling and general expenses decreased \$1,215,000, primarily reflecting the sale of OneEvent's refrigeration monitoring business that occurred on July 31, 2025.

During the first quarter of 2025, the Company made deposits totaling \$2,701,000 with a vendor in its Housewares/Small Appliances segment. On May 29, 2025, the vendor filed for protection in the U.S. Bankruptcy Court in the Northern District of Texas. As recovery of the deposit is deemed unlikely, the Company recorded an impairment of the full deposit during the second quarter of 2025.

The above items were responsible for the change in operating profit from continuing operations.

The \$3,579,000 decrease in other income was attributable to a decrease of \$3,009,000 in interest income on marketable securities and an increase in interest expense of \$830,000 related to the outstanding balance of the Company's revolving line of credit during 2025. Both stem from the increased investments in inventory required to support augmented Defense segment awards.

Earnings before provision for income taxes decreased \$8,551,000 from \$50,670,000 to \$42,119,000. The provision for income taxes decreased \$175,000 from \$9,210,000 to \$9,035,000, which resulted in an effective income tax rate of 22% and 18% for the years ended December 31, 2025 and 2024, respectively. The increase in the effective income tax rate was primarily attributable to the absence of favorable adjustments recognized in 2024 related to prior year estimates. Net earnings decreased \$8,376,000 from \$41,460,000 to \$33,084,000.

[Table of Contents](#)**2024 COMPARED TO 2023**

Readers are directed to Note L, “Business Segments,” to the Company’s Consolidated Financial Statements for data on the financial results of the Company’s three business segments for the years ended December 31, 2024 and 2023.

On a consolidated basis, sales increased by \$47,316,000 (14%), gross profit increased by \$11,114,000 (17%), selling and general expense increased by \$1,054,000 (3%), and intangibles amortization decreased by \$120,000 (7%). Other income decreased by \$1,941,000 (26%), earnings before provision for income taxes increased by \$8,239,000 (19%), and net earnings increased by \$6,901,000 (20%). Details concerning these changes can be found, by segment, in the comments below.

Net sales of the Housewares/Small Appliance segment increased by \$5,180,000, from \$97,619,000 to \$102,799,000, or 5%, primarily attributable to the increase in units shipped. Net sales of the Defense segment increased by \$42,322,000, from \$241,703,000 to \$284,025,000, or 18%, reflecting an increase in units shipped.

Gross profit of the Housewares/Small Appliance segment increased \$5,611,000 from \$19,867,000 (20% of sales) in 2023 to \$25,478,000 (25% of sales) in 2024, primarily reflecting the increase in sales mentioned above, augmented by an improved product mix and a favorable LIFO inventory adjustment. Defense gross profit increased \$6,170,000 from \$52,003,000 (22% of sales) in 2023 to \$58,173,000 (21% of sales) in 2024, primarily reflecting the increase in sales mentioned above. Due to the startup nature of the businesses in the Safety segment, gross margins were negative in both years. The comparative decrease in gross margins of \$667,000 were primarily due to increased product development and testing.

Selling and general expenses for the Housewares/Small Appliance segment increased \$361,000, primarily reflecting increased personnel costs of \$654,000 and accrual levels for self insurance of \$339,000, partially offset by changes to accrual levels for bad debt of \$571,000. Defense segment selling and general expenses increased \$1,530,000, primarily due to increased personnel costs of \$1,609,000, partially offset by decreased legal and professional expenses of \$156,000. Safety segment selling and general expenses decreased \$837,000, primarily reflecting decreased personnel costs of \$935,000 and legal and professional expenses of \$322,000, partially offset by the absence of the prior year's gain on the sale of Rusoh, Inc. of \$351,000. See Notes L to the Company's Consolidated Financial Statements.

Intangibles amortization decreased as a result of the absence of the prior year's amortization of intellectual property intangibles from the acquisition of Knox Safety, Inc.

The above items were responsible for the change in operating profit from continuing operations.

Other income decreased \$1,941,000, which was primarily attributable to a reduced portfolio of marketable securities.

Earnings before provision for income taxes increased \$8,239,000 from \$42,431,000 to \$50,670,000. The provision for income taxes increased from \$7,872,000 to \$9,210,000, which resulted in an effective income tax rate of 18% and 19% for the years ended December 31, 2024 and 2023, respectively. Net earnings increased \$6,901,000 from \$34,559,000 to \$41,460,000.

[Table of Contents](#)**LIQUIDITY AND CAPITAL RESOURCES****2025 COMPARED TO 2024**

Cash used in operating activities was \$9,137,000 during 2025 as compared to \$53,426,000 during 2024. The principal factors behind the decrease in cash used can be found in the changes in the components of working capital within the Consolidated Statements of Cash Flows. Of particular note during 2025 was net earnings of \$33,084,000, which included the non-cash impairment of a vendor deposit of \$2,701,000, depreciation and amortization expenses of \$5,136,000, deferred income tax of \$7,741,000 and retirement plan expense of \$1,008,000. The combination of these factors was more than offset by increases in inventory and accounts receivable levels and a net decrease in payables and accrual levels. Of particular note during 2024 was net earnings of \$41,460,000, which included total non-cash depreciation and amortization of \$5,046,000 and deferred income tax benefit of \$4,528,000. This was augmented by decreases in deposits made to vendors (included in other assets and current assets) and a net increase in payable and accrual levels. The combination of these factors was more than offset by increases in inventory and accounts receivable levels.

Net cash used in investing activities was \$21,876,000 during 2025 as compared to \$14,965,000 provided by investing activities during 2024. The change primarily related to net sales and maturities of marketable securities of \$4,477,000 in 2025, as opposed to \$21,459,000 in 2024, and purchases of property, plant and equipment of \$27,034,000 in 2025, as opposed to \$7,531,000 in 2024.

Net cash provided by financing activities was \$16,602,000 during 2025 as compared to \$31,533,000 of net cash used in financing activities during 2024. The change primarily relates to net proceeds from the Company's line of credit in 2025 of \$23,624,000, as well as the annual dividend payments. During both years, the regular dividend was \$1.00 per share. In 2024, the extra dividend was \$3.50 per share. However, there was no extra dividend payment during 2025. Cash flows for both years also reflected the proceeds from the sale of treasury stock to a Company sponsored retirement plan. During 2025 and 2024, the Company incurred interest expense of \$832,000 and \$2,000 related to its line of credit, respectively.

As a result of the foregoing factors, cash and cash equivalents decreased in 2025 by \$14,411,000 to \$3,252,000.

[Table of Contents](#)

Working capital increased by \$15,887,000 to \$308,112,000 at December 31, 2025 for the reasons stated above. The Company's current ratio was 4.2 to 1.0 at December 31, 2025 and 4.9 to 1.0 at December 31, 2024.

The Company expects to continue to evaluate acquisition opportunities that align with its business segments and will make further acquisitions, as well as continue to make capital investments in these segments per existing authorized projects and for additional projects if the appropriate return on investment is projected. See Item 1-A-2.

The Company has sufficient liquidity in the form of cash and cash equivalents and marketable securities and credit facilities to meet all of its anticipated capital requirements, to make dividend payments, and to fund future growth through acquisitions and other means.

The Company's principal commitments consist of purchase and lease obligations. Purchase obligations include outstanding purchase orders issued to material suppliers and contractors in the Company's Defense segment and those issued to manufacturers located primarily in the Orient for the Housewares/Small Appliance segment and in Mexico for the Safety segment. As of December 31, 2025, the purchase orders amounted to approximately \$602,558,000. The Company can cancel or change many of these purchase orders, but may incur costs if its supplier cannot use the material to manufacture the Company's or other customers' products in other applications or return the material to their supplier. As a result, the actual amount the Company is obligated to pay cannot be reasonably estimated. Lease obligations are described in Note M - Leases to the consolidated financial statements included in Part II, Item 8 of this Annual Report on Form 10-K.

2024 COMPARED TO 2023

Cash used in operating activities was \$53,426,000 during 2024 as compared to \$45,389,000 provided by operating activities during 2023. The principal factors behind the increase in cash used can be found in the changes in the components of working capital within the Consolidated Statements of Cash Flows. Of particular note during 2024 was net earnings of \$41,460,000, which included total non-cash depreciation and amortization of \$5,046,000 and deferred income tax benefit of \$4,528,000. This was augmented by decreases in deposits made to vendors (included in other assets and current assets) and a net increase in payable and accrual levels. The combination of these factors was more than offset by increases in inventory and accounts receivable levels. Of particular note during 2023 were net earnings of \$34,559,000, which included total non-cash depreciation and amortization of \$6,007,000, decreases in accounts receivable levels and deposits made to vendors (included in other assets and current assets), and a net increase in payable and accrual levels. These were partially offset by non-cash deferred income tax benefit of \$1,190,000 and an increase in inventory levels.

Net cash provided by investing activities was \$14,965,000 during 2024 as compared to \$447,000 used in investing activities during 2023. Of note during 2024 were net sales and maturities of marketable securities of \$21,459,000 and proceeds from a note receivable of \$1,037,000. These were partially offset by purchases of plant and equipment of \$7,531,000. Of note during 2023 were proceeds from sale of subsidiary of \$2,000,000, net purchases of marketable securities of \$1,466,000 and purchases of plant and equipment of \$1,840,000.

Based on the accounting profession's 2005 interpretation of cash equivalents under Financial Accounting Standards Board ("FASB") Accounting Standard Codification ("ASC") 230, the Company's variable rate demand notes have been classified as marketable securities. This interpretation, which is contrary to the interpretation that the Company's representative received directly from the FASB (which indicated it would not object to the Company's classification of variable rate demand notes as cash equivalents), has resulted in a presentation of the Company's Consolidated Balance Sheets that the Company believes understates the true liquidity of the Company's income portfolio. As of December 31, 2024 and 2023, \$0 and \$5,123,000, respectively, of variable rate demand notes were classified as marketable securities. These notes had structural features that allowed the Company to tender them at par plus interest within any 7-day period for cash to the notes' trustees or remarketers and thus provided the liquidity of cash equivalents.

Cash flows from financing activities for 2024 and 2023 primarily differed as a result of the \$0.50 per share increase in the extra dividend paid during these years. Cash flows for both years also reflected the proceeds from the sale of treasury stock to a Company sponsored retirement plan. In addition, the Company drew on and repaid its line of credit during 2024, incurring interest expense of \$2,000.

As a result of the foregoing factors, cash and cash equivalents decreased in 2024 by \$69,994,000 to \$17,663,000.

Working capital increased by \$4,134,000 to \$292,225,000 at December 31, 2024 for the reasons stated above. The Company's current ratio was 4.9 to 1.0 at December 31, 2024 and 5.0 to 1.0 at December 31, 2023.

[Table of Contents](#)**DEFENSE SEGMENT BACKLOG**

The Company's Defense segment contract backlog was approximately \$1,747,809,000 at December 31, 2025, and \$1,085,612,000 at December 31, 2024. Backlog is defined as the value of orders from the customer less the amount of sales recognized against the orders. It is anticipated that the backlog will be produced and shipped during an 18- to 42-month period.

CRITICAL ACCOUNTING ESTIMATES

The Company's discussion and analysis of financial condition and results of operations are based upon its Consolidated Financial Statements. The preparation of the Company's Consolidated Financial Statements in accordance with accounting principles generally accepted in the United States requires management to make certain estimates and assumptions that affect the amount of reported assets and liabilities and disclosure of contingent assets and liabilities at the date of the Consolidated Financial Statements and revenues and expenses during the periods reported. The estimates are based on experience and other assumptions that the Company believes are reasonable under the circumstances, and these estimates are evaluated on an ongoing basis. Actual results may differ from those estimates.

The Company's critical accounting policies are those that materially affect its Consolidated Financial Statements and involve difficult, subjective, or complex judgments by management. The Company reviewed the development and selection of the critical accounting policies and believes the following is the most critical accounting policy that could have a material effect on the Company's reported results as it involves the use of significant estimates and assumptions as described above. This critical accounting policy and estimate have been reviewed with the Audit Committee of the Board of Directors. See Note A - Summary of Significant Accounting Policies to the Consolidated Financial Statements included in Part II, Item 8 of this Annual Report on Form 10-K for more detailed information regarding the Company's critical accounting policies.

[Table of Contents](#)**Impairment and Valuation of Long-lived Assets and Goodwill**

The Company reviews long-lived assets for impairment whenever events or changes in circumstances indicate that the related carrying amounts may not be recoverable. Long-lived assets consist of property, plant and equipment and intangible assets, including the value of contracts/customer relationships, trademarks and safety certifications, trade secrets, and technology software. Determining whether an impairment has occurred typically requires various estimates and assumptions, including determining which cash flows are directly related to the potentially impaired asset, the useful life over which cash flows will occur, the amounts of the cash flows and the asset's residual value, if any. In turn, measurement of an impairment loss requires a determination of fair value, which is based on the best information available. The Company uses internal discounted cash flows estimates, quoted market prices when available and independent appraisals, as appropriate, to determine fair value. The Company derives the required cash flow estimates from its historical experience and its internal business plans.

The Company recognizes the excess cost of acquired entities over the net amount assigned to the fair value of assets acquired and liabilities assumed as goodwill. Goodwill, at the reporting unit level, is tested for impairment on an annual basis at the start of the fourth quarter and between annual tests whenever an impairment is indicated. The impairment test for goodwill requires the determination of fair value of the reporting units. The Company uses multiples of earnings before interest, taxes, depreciation, and amortization ("EBITDA"), sales, and discounted cash flow models, which are described above, to determine the reporting unit's fair value, as appropriate. The Company uses internal discounted cash flows estimates, quoted market prices when available and independent appraisals, as appropriate, to determine fair value. A number of assumptions and estimates are involved in the application of the discounted cash flow model including revenue projections, projected operating cash flow margins, and discount rates. The Company derives the required cash flow estimates from its historical experience and its internal business plans. The Company also utilizes qualitative analyses to assess goodwill impairment.

NEW ACCOUNTING PRONOUNCEMENTS

Please refer to Note A(17) to the Company's Consolidated Financial Statements for information related to the effect of adopting new accounting pronouncements on the Company's Consolidated Financial Statements.

ITEM 7A. QUANTITATIVE AND QUALITATIVE DISCLOSURES ABOUT MARKET RISK

The Company's interest income on cash equivalents and marketable securities is affected by changes in interest rates in the United States. Cash equivalents primarily consist of money market funds. The balance of the Company's investments is held primarily in certificates of deposits and other fixed rate securities with a weighted average life of 0.9 years. Accordingly, changes in interest rates have not had a material effect on the Company, and the Company does not anticipate that future exposure to interest rate market risk will be material. The Company uses sensitivity analysis to determine its exposure to changes in interest rates.

The Company has no history of, and does not anticipate in the future, investing in derivative financial instruments. Most transactions with international customers are entered into in U.S. dollars, precluding the need for foreign currency cash flow hedges. As the majority of the Housewares/Small Appliance segment's suppliers are located in China, periodic changes in the U.S. dollar and Chinese Renminbi (RMB) exchange rates do have an impact on that segment's product costs. It is anticipated that any potential material impact from fluctuations in the exchange rate will be to the cost of products secured via purchase orders issued subsequent to the revaluation.

[Table of Contents](#)**ITEM 8. FINANCIAL STATEMENTS AND SUPPLEMENTARY DATA**

- A. The Consolidated Financial Statements of National Presto Industries, Inc. and its subsidiaries and the related Report of Independent Registered Public Accounting Firm can be found on pages F-1 through F-22.
- B. Quarterly financial data is contained in Note N to the Consolidated Financial Statements.

ITEM 9. CHANGES IN AND DISAGREEMENTS WITH ACCOUNTANTS ON ACCOUNTING AND FINANCIAL DISCLOSURE

None.

ITEM 9A. CONTROLS AND PROCEDURES**EVALUATION OF DISCLOSURE CONTROLS AND PROCEDURES**

The Company's management, including the Chief Executive Officer and Chief Financial Officer, conducted an evaluation of the effectiveness of the design and operation of the Company's disclosure controls and procedures pursuant to Rule 13a-15 under the Securities Exchange Act of 1934 (the "1934 Act") as of December 31, 2025. Based on that evaluation, the Company's Chief Executive Officer and Chief Financial Officer concluded that the Company's disclosure controls and procedures were effective as of that date.

There were no changes to internal control over financial reporting during the quarter ended December 31, 2025 that have materially affected, or are reasonably likely to materially affect, the Company's internal control over financial reporting.

MANAGEMENT'S REPORT ON INTERNAL CONTROL OVER FINANCIAL REPORTING

The management of National Presto Industries, Inc. is responsible for establishing and maintaining adequate internal control over financial reporting as defined in Rules 13a-15(f) and 15d-15(f) under the 1934 Act. The Company's internal control system was designed to provide reasonable assurance to the Company's management and Board of Directors regarding the preparation and fair presentation of published financial statements.

All internal control systems, no matter how well designed, have inherent limitations. Therefore, even those systems determined to be effective can provide only reasonable assurance with respect to financial statement preparation and presentation.

Management assessed the effectiveness of the Company's internal control over financial reporting as of December 31, 2025. In making this assessment, it used the criteria set forth by the Committee of Sponsoring Organizations of the Treadway Commission (COSO) in *Internal Control – Integrated Framework (2013)*. Based on this assessment and those criteria, management concluded that as of December 31, 2025, the Company's internal control over financial reporting as defined in Rules 13a-15(f) and 15d-15(f) of the 1934 Act, was effective.

The Company's independent registered public accounting firm has issued its report on the effectiveness of the Company's internal control over financial reporting. The report appears below.

[Table of Contents](#)**REPORT OF INDEPENDENT REGISTERED PUBLIC ACCOUNTING FIRM**

To the Shareholders and the Board of Directors of National Presto Industries, Inc.

Opinion on the Internal Control Over Financial Reporting

We have audited National Presto Industries, Inc.'s (the Company) internal control over financial reporting as of December 31, 2025, based on criteria established in *Internal Control — Integrated Framework* issued by the Committee of Sponsoring Organizations of the Treadway Commission in 2013. In our opinion, the Company maintained, in all material respects, effective internal control over financial reporting as of December 31, 2025, based on criteria established in *Internal Control — Integrated Framework* issued by the Committee of Sponsoring Organizations of the Treadway Commission in 2013.

We have also audited, in accordance with the standards of the Public Company Accounting Oversight Board (United States) (PCAOB), the consolidated financial statements of the Company and our report dated March 13, 2026, expressed an unqualified opinion.

Basis for Opinion

The Company's management is responsible for maintaining effective internal control over financial reporting and for its assessment of the effectiveness of internal control over financial reporting in the accompanying Management Report on Internal Control Over Financial Reporting. Our responsibility is to express an opinion on the Company's internal control over financial reporting based on our audit. We are a public accounting firm registered with the PCAOB and are required to be independent with respect to the Company in accordance with U.S. federal securities laws and the applicable rules and regulations of the Securities and Exchange Commission and the PCAOB.

We conducted our audit in accordance with the standards of the PCAOB. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether effective internal control over financial reporting was maintained in all material respects. Our audit included obtaining an understanding of internal control over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. Our audit also included performing such other procedures as we considered necessary in the circumstances. We believe that our audit provides a reasonable basis for our opinion.

Definition and Limitations of Internal Control Over Financial Reporting

A company's internal control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal control over financial reporting includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorizations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use or disposition of the company's assets that could have a material effect on the financial statements.

Because of its inherent limitations, internal control over financial reporting may not prevent or detect misstatements. Also, projections of any evaluation of effectiveness to future periods are subject to the risk that controls may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

/s/ RSM US LLP

Milwaukee, Wisconsin
March 13, 2026

[Table of Contents](#)**ITEM 9B. OTHER INFORMATION****Insider Trading Arrangement**

During the year ended December 31, 2025, the following director or officer (as defined in Rule 16a-1(f) under the Securities Exchange Act of 1934) of the Company adopted a “non-Rule 10b5-1 trading arrangement” as defined in Regulation S-K Item 408:

On November 10, 2025, Randy Lieble, a director of the Company, adopted a written trading plan that is intended to satisfy the affirmative defense conditions of Rule 10b5-1(c) under the Exchange Act (“Lieble 10b5-1 Plan”). The Lieble 10b5-1 Plan provides for the sale of up to 2,417 shares of National Presto common stock between February 17, 2026 and February 17, 2027, so long as the sale price of the common stock is higher than a minimum threshold price specified in the Lieble Rule 10b5-1 Plan.

No other officers or directors, as defined in Rule 16a-1(f), adopted or terminated a “Rule 10b5-1 trading arrangement” or a “non-Rule 10b5-1 trading arrangement,” as defined in Regulation S-K Item 408, during the fiscal year ended December 31, 2025.

ITEM 9C. DISCLOSURES REGARDING FOREIGN JURISDICTIONS THAT PREVENT INSPECTIONS

None.

[Table of Contents](#)**PART III****ITEM 10. DIRECTORS, EXECUTIVE OFFICERS AND CORPORATE GOVERNANCE**

The following information is provided with regard to the executive officers of the registrant:
(All terms for elected officers are one year or until their respective successors are elected.)

<u>NAME</u>	<u>TITLE</u>	<u>AGE</u>
Maryjo Cohen	Chair of the Board, President, and Chief Executive Officer	73
Douglas J. Frederick	Chief Operating Officer, Vice President, Secretary and General Counsel	55
Jeffery A. Morgan	Vice President, Engineering	68
David J. Peuse	Chief Financial Officer and Treasurer	56
John R. MacKenzie	Vice President of Sales	55

Ms. Cohen became Chair of the Board on January 1, 2002. Prior to that date she had been elected Treasurer in September 1983, Vice President in May 1986, President in May 1989 and Chief Executive Officer in May 1994. She has been associated with the registrant since 1976. Prior to becoming an officer, she was Associate Resident Counsel and Assistant to the Treasurer.

Mr. Frederick was appointed a Board Director on May 16, 2023. Prior to that date he had been elected Corporate Secretary on November 17, 2009, Vice President on May 15, 2018, and Chief Operating Officer on December 11, 2018. He has been associated with the registrant since 2007 as an in-house attorney with expertise in litigation and intellectual property matters and in the capacity of General Counsel since January 2009. Prior to his employment with the registrant, Mr. Frederick was a litigation attorney with the firm Rider Bennett, LLP.

Mr. Morgan was elected Vice President of Engineering in November 2015. He has been associated with the registrant since 2010. Prior to becoming an officer, he was Director of Engineering and Chief Engineer. Prior to his employment with the registrant, Mr. Morgan had worked 21 years at Hoover Company, a division of Maytag, and three years at Hoover's successor, Techtronic Industries, in engineering and engineering management capacities. Mr. Morgan will be retiring from the Company on April 30, 2026.

Mr. Peuse was elected Chief Financial Officer on November, 20 2025. Prior to that date, he served the registrant as Treasurer, Director of Financial Reporting, Controller, and in other capacities as Manager of General Accounting, Costing Manager, Business Systems Analyst, and Internal Auditor. Mr. Peuse has been associated with the registrant since 1996.

Mr. MacKenzie was elected Vice President of Sales on February 17, 2023. He has over 20-years of experience in the housewares/small appliance industry, and has held sales and management positions at Applica (Black & Decker), Focus Products, and Joseph Joseph. Prior to becoming an officer, he had most recently served the Company as its Director of Sales and in other capacities as its National Sales Manager and District Sales Manager. Mr. MacKenzie has been associated with the Company since 2016.

The information under the headings "Delinquent Section 16(a) Reports," "Information Concerning Directors and Nominees" and "Corporate Governance" in the Company's Proxy Statement for its 2026 Annual Meeting of Stockholders is incorporated by reference.

The Company has adopted a code of ethics that applies to all Company employees, entitled the "Corporate Code of Conduct," which is set forth in the Corporate Governance section of the Company's website located at www.gopresto.com. The Company intends to make all required disclosures concerning any amendments to, or waivers from, its Corporate Code of Conduct by the posting of such information on that section of its website.

[Table of Contents](#)**ITEM 11. EXECUTIVE COMPENSATION**

The information under the headings “Compensation Committee Interlocks and Insider Participation,” “Director Compensation,” “Executive Compensation and Other Information” and “Summary Compensation Table” in the Company’s Proxy Statement for its 2026 Annual Meeting of Stockholders is incorporated by reference.

ITEM 12. SECURITY OWNERSHIP OF CERTAIN BENEFICIAL OWNERS AND MANAGEMENT AND RELATED STOCKHOLDER MATTERS

The security ownership and related stockholder matters information set forth under the heading “Voting Securities and Principal Holders Thereof” in the Company’s Proxy Statement for its 2026 Annual Meeting of Stockholders is incorporated by reference.

ITEM 13. CERTAIN RELATIONSHIPS AND RELATED TRANSACTIONS, AND DIRECTOR INDEPENDENCE

The certain relationships and related transactions and director independence information set forth under the heading “Corporate Governance” in the Company’s Proxy Statement for its 2026 Annual Meeting of Stockholders is incorporated by reference.

ITEM 14. PRINCIPAL ACCOUNTANT FEES AND SERVICES

The principal accountant fees and services information set forth under the heading “Independent Registered Public Accountants” in the Company’s Proxy Statement for its 2026 Annual Meeting of Stockholders is incorporated by reference.

[Table of Contents](#)**PART IV****ITEM 15. EXHIBITS AND FINANCIAL STATEMENT SCHEDULES**

(a) Documents filed as part of this Form 10-K:

Form 10-K
Page Reference1. Consolidated Financial Statements:

a.	Consolidated Balance Sheets - December 31, 2025 and 2024	F-1 & F-2
b.	Consolidated Statements of Comprehensive Income - Years ended December 31, 2025, 2024 and 2023	F-3
c.	Consolidated Statements of Cash Flows - Years ended December 31, 2025, 2024 and 2023	F-4
d.	Consolidated Statements of Stockholders' Equity - Years ended December 31, 2025, 2024 and 2023	F-5
e.	Notes to Consolidated Financial Statements	F-6 through F-22
f.	Reports of Independent Registered Public Accounting Firm RSM US LLP, Milwaukee, Wisconsin, PCAOB ID #49	F-23

2. Consolidated Financial Statement Schedule:

Schedule II - Valuation and Qualifying Accounts	F-24
---	----------------------

(b) Exhibits:

<u>Exhibit Number</u>	<u>Description</u>
Exhibit 3(i)	Restated Articles of Incorporation – incorporated by reference from Exhibit 3(i) of the Company's report on Form 10-K/A for the year ended December 31, 2005
Exhibit 3(ii)	By-Laws - incorporated by reference from Exhibit 3(ii) of the Company's current report on Form 8-K dated July 6, 2007
Exhibit 4	Description of Registrant's Securities - Incorporated by reference from Exhibit 4 of the Company's annual report on Form 10-K for the year ended December 31, 2019
Exhibit 9.1	Voting Trust Agreement - incorporated by reference from Exhibit 9 of the Company's quarterly report on Form 10-Q for the quarter ended July 6, 1997
Exhibit 9.2	Voting Trust Agreement Amendment – incorporated by reference from Exhibit 9.2 of the Company's annual report on Form 10-K for the year ended December 31, 2008

[Table of Contents](#)

<u>Exhibit Number</u>	<u>Description</u>
Exhibit 10.1*	Incentive Compensation Plan – incorporated by reference from Exhibit 10.1 of the Company’s quarterly report on Form 10-Q for the quarter ended July 4, 2010
Exhibit 10.2*	Form of Restricted Stock Award Agreement – incorporated by reference from Exhibit 10.2 of the Company’s quarterly report on Form 10-Q for the quarter ended July 4, 2010
Exhibit 10.3*	2017 Incentive Compensation Plan – incorporated by reference from Exhibit 10.1 of the Company’s quarterly report on Form 10-Q for the quarter ended July 2, 2017
Exhibit 10.4*	Form of Restricted Stock Award Agreement – 2017 Incentive Compensation Plan - incorporated by reference from Exhibit 10.2 of the Company’s quarterly report on Form 10-Q for the quarter ended July 2, 2017
Exhibit 21	Subsidiaries of the Registrant
Exhibit 23.1	Consent of Independent Registered Public Accounting Firm - RSM US LLP
Exhibit 31.1	Certification of the Chief Executive Officer pursuant to Section 302 of the Sarbanes-Oxley Act of 2002
Exhibit 31.2	Certification of the Chief Financial Officer pursuant to Section 302 of the Sarbanes-Oxley Act of 2002
Exhibit 32.1	Certification of the Chief Executive Officer pursuant to Section 906 of the Sarbanes-Oxley Act of 2002
Exhibit 32.2	Certification of the Chief Financial Officer pursuant to Section 906 of the Sarbanes-Oxley Act of 2002
Exhibit 97	Policy for the Recovery of Erroneously Awarded Compensation - incorporated by reference from Exhibit 97 of the Company's annual report on Form 10-K for the year ended December 31, 2023
Exhibit 101.INS	Inline XBRL Instance Document.
Exhibit 101.SCH	Inline XBRL Taxonomy Extension Schema Document.
Exhibit 101.CAL	Inline XBRL Taxonomy Extension Calculation Linkbase Document.
Exhibit 101.DEF	Inline XBRL Taxonomy Extension Definition Linkbase Document.
Exhibit 101.LAB	Inline XBRL Taxonomy Extension Label Linkbase Document.
Exhibit 101.PRE	Inline XBRL Taxonomy Extension Presentation Linkbase Document.
Exhibit 104	The cover page from this Annual Report on Form 10-K for the year ended December 31, 2025, formatted in Inline XBRL and contained in Exhibit 101.INS

* Compensatory Plans

(c) Schedules:

Reference is made to Item 15(a)2 of this Form 10-K.

ITEM 16. FORM 10-K SUMMARY

None.

[Table of Contents](#)

SIGNATURES

Pursuant to the Requirements of Section 13 or 15 (d) of the Securities Exchange Act of 1934, the registrant has duly caused this report to be signed on its behalf by the undersigned, thereunto duly authorized.

NATIONAL PRESTO INDUSTRIES, INC.
(registrant)

By: /S/ Maryjo Cohen
Maryjo Cohen
President and Chief Executive Officer

Date: March 13, 2026

Pursuant to the requirements of the Securities Exchange Act of 1934, this report has been signed below by the following persons on behalf of the registrant and in the capacities and on the dates indicated.

By: /S/ Douglas J. Frederick
Douglas J. Frederick
Chief Operating Officer, Vice President,
Secretary, General Counsel, and Director

By: /S/ Patrick J. Quinn
Patrick J. Quinn
Director

By: /S/ Maryjo Cohen
Maryjo Cohen
Chair of the Board, President,
Chief Executive Officer (Principal
Executive Officer), and Director

By: /S/ Joseph G. Stienessen
Joseph G. Stienessen
Director

By: /S/ Randy F. Lieble
Randy F. Lieble
Director

By: /S/ David J. Peuse
David J. Peuse
Treasurer and Chief Financial Officer
(Principal
Financial Officer)

Date: March 13, 2026

[Table of Contents](#)

NATIONAL PRESTO INDUSTRIES, INC.
CONSOLIDATED BALANCE SHEETS

(Dollars in thousands except share and per share data)

December 31	2025	2024
ASSETS		
CURRENT ASSETS:		
Cash and cash equivalents	\$ 3,252	\$ 17,663
Marketable securities	503	5,010
Accounts receivable	\$ 85,282	\$ 62,506
Less allowance for doubtful accounts	<u>243</u>	<u>217</u>
	85,039	62,289
Inventories:		
Finished goods	32,272	38,351
Work in process	249,741	219,154
Raw materials and supplies	<u>24,960</u>	<u>20,494</u>
	306,973	277,999
Notes receivable, current	208	600
Income tax receivable	3,959	-
Other current assets	<u>3,129</u>	<u>3,100</u>
Total current assets	403,063	366,661
PROPERTY, PLANT AND EQUIPMENT:		
Land and land improvements	4,382	3,622
Buildings	80,716	57,581
Machinery and equipment	<u>53,400</u>	<u>53,331</u>
	138,498	114,534
Less allowance for depreciation and amortization	<u>74,562</u>	<u>71,297</u>
	63,936	43,237
GOODWILL	19,433	19,433
INTANGIBLE ASSETS, net	2,262	3,777
RIGHT-OF-USE LEASE ASSETS	9,441	9,962
DEFERRED INCOME TAXES	<u>2,594</u>	<u>10,327</u>
	<u>\$ 500,729</u>	<u>\$ 453,397</u>

The accompanying notes are an integral part of the Consolidated Financial Statements.

[Table of Contents](#)

NATIONAL PRESTO INDUSTRIES, INC.
CONSOLIDATED BALANCE SHEETS

(Dollars in thousands except share and per share data)

December 31	2025	2024
LIABILITIES		
CURRENT LIABILITIES:		
Accounts payable	\$ 45,956	\$ 44,625
Line of credit	23,624	-
Federal and state income taxes	-	4,680
Lease liabilities	516	564
Accrued liabilities	24,855	24,567
Total current liabilities	<u>94,951</u>	<u>74,436</u>
LEASE LIABILITIES - NON-CURRENT	8,925	9,397
FEDERAL AND STATE INCOME TAXES - NON-CURRENT	<u>1,718</u>	<u>1,937</u>
Total liabilities	<u>105,594</u>	<u>85,770</u>
COMMITMENTS AND CONTINGENCIES		
STOCKHOLDERS' EQUITY		
Common stock, \$1 par value:		
Authorized: 12,000,000 shares at December 31, 2025 and 2024		
Issued: 7,440,518 shares at December 31, 2025 and 2024		
Outstanding: 7,123,717 and 7,105,595 shares at December 31, 2025 and 2024, respectively	\$ 7,441	\$ 7,441
Paid-in capital	18,426	17,298
Retained earnings	379,599	353,659
Accumulated other comprehensive income	<u>6</u>	<u>35</u>
	<u>405,472</u>	<u>378,433</u>
Less treasury stock, at cost, 316,801 and 334,923 shares at December 31, 2025 and 2024, respectively	<u>10,337</u>	<u>10,806</u>
Total stockholders' equity	<u>395,135</u>	<u>367,627</u>
	<u><u>\$ 500,729</u></u>	<u><u>\$ 453,397</u></u>

The accompanying notes are an integral part of the Consolidated Financial Statements.

[Table of Contents](#)

NATIONAL PRESTO INDUSTRIES, INC.
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
(In thousands except per share data)

	For the years ended December 31,		
	2025	2024	2023
Net sales	\$ 503,524	\$ 388,228	\$ 340,912
Cost of sales	423,199	309,662	273,460
Gross profit	80,325	78,566	67,452
Selling and general expenses	35,868	31,838	30,784
Intangibles amortization	1,515	1,515	1,635
Impairment of vendor deposit	2,701	-	-
Operating profit	40,241	45,213	35,033
Other income	1,878	5,457	7,398
Earnings before provision for income taxes	42,119	50,670	42,431
Provision for income taxes	9,035	9,210	7,872
Net earnings	\$ 33,084	\$ 41,460	\$ 34,559
Weighted average common shares outstanding:			
Basic and diluted	7,147	7,128	7,106
Earnings per share, basic and diluted:			
Net earnings per share	\$ 4.63	\$ 5.82	\$ 4.86
Comprehensive income:			
Net earnings	\$ 33,084	\$ 41,460	\$ 34,559
Other comprehensive income, net of tax:			
Unrealized gain (loss) on available-for-sale securities, net of tax	(29)	13	125
Comprehensive income	\$ 33,055	\$ 41,473	\$ 34,684

The accompanying notes are an integral part of the Consolidated Financial Statements.

[Table of Contents](#)

NATIONAL PRESTO INDUSTRIES, INC.
CONSOLIDATED STATEMENTS OF CASH FLOWS
(In Thousands)

	For the years ended December 31,		
	2025	2024	2023
Cash flows from operating activities:			
Net earnings	\$ 33,084	\$ 41,460	\$ 34,559
Adjustments to reconcile net earnings to net cash provided by operating activities:			
Provision for depreciation	3,621	3,531	4,372
Intangibles amortization	1,515	1,515	1,635
Deferred income tax (benefit)	7,741	(4,528)	(1,190)
Provision for doubtful notes and accounts receivable	66	(285)	285
(Gain) loss on disposal of property, plant and equipment	13	-	(7)
Loss on impairment of vendor deposit	2,701	-	-
Noncash retirement plan expense	1,008	904	863
Gain on sale of subsidiary	(253)	-	(351)
Other	230	856	591
Changes in operating accounts:			
Accounts receivable, net	(22,902)	(13,277)	20,337
Inventories	(29,028)	(87,579)	(38,627)
Other assets and current assets	(28)	2,122	2,137
Accounts payable and accrued liabilities	1,734	390	18,288
Federal and state income taxes payable	(8,639)	1,465	2,497
Net cash provided by (used in) operating activities	(9,137)	(53,426)	45,389
Cash flows from investing activities:			
Marketable securities purchased	-	(5,432)	(47,709)
Marketable securities - maturities and sales	4,477	26,891	46,243
Purchase of property, plant and equipment	(27,034)	(7,531)	(1,840)
Proceeds from notes receivable	403	1,037	627
Proceeds from sale of subsidiary	278	-	2,000
Proceeds from insurance claim	-	-	232
Net cash provided by (used in) investing activities	(21,876)	14,965	(447)
Cash flows from financing activities:			
Proceeds from line of credit	192,563	8,000	-
Payments on line of credit	(168,939)	(8,000)	-
Dividends paid	(7,142)	(32,029)	(28,385)
Proceeds from sale of treasury stock	120	513	429
Other	-	(17)	(40)
Net cash provided by (used in) financing activities	16,602	(31,533)	(27,996)
Net increase (decrease) in cash and cash equivalents	(14,411)	(69,994)	16,946
Cash and cash equivalents at beginning of year	17,663	87,657	70,711
Cash and cash equivalents at end of year	\$ 3,252	\$ 17,663	\$ 87,657
Supplemental disclosures of cash flow information:			
Cash paid during the year for:			
Income Taxes	10,184	11,971	6,837
Interest on line of credit	832	2	-

The accompanying notes are an integral part of the Consolidated Financial Statements.

[Table of Contents](#)

NATIONAL PRESTO INDUSTRIES, INC.
CONSOLIDATED STATEMENTS OF STOCKHOLDERS' EQUITY
(In thousands except per share data)

	Shares of Common Stock Outstanding	Common Stock	Paid-in Capital	Retained Earnings	Accumulated Comprehensive Income (Loss)	Treasury Stock	Total
Balance December 31, 2022	7,063	\$ 7,441	\$ 14,799	\$ 338,071	\$ (103)	\$ (12,156)	\$ 348,052
Net earnings				34,559			34,559
Unrealized gain on available-for-sale securities, net of tax					125		125
Dividends paid March 15, \$1.00 per share regular, \$3.00 per share extra				(28,385)			(28,385)
Other	19		1,232	-		673	1,905
Balance December 31, 2023	7,082	7,441	16,031	344,245	22	(11,483)	356,256
Net earnings				41,460			41,460
Unrealized gain on available-for-sale securities, net of tax					13		13
Dividends paid March 15, \$1.00 per share regular, \$3.50 per share extra				(32,029)			(32,029)
Other	23		1,267	(17)		677	1,927
Balance December 31, 2024	7,105	7,441	17,298	353,659	35	(10,806)	367,627
Net earnings				33,084			33,084
Unrealized loss on available-for-sale securities, net of tax					(29)		(29)
Dividends paid March 15, \$1.00 per share regular				(7,142)			(7,142)
Other	18		1,128	(2)		469	1,595
Balance December 31, 2025	7,123	\$ 7,441	\$ 18,426	\$ 379,599	\$ 6	\$ (10,337)	\$ 395,135

The accompanying notes are an integral part of the Consolidated Financial Statements.

[Table of Contents](#)**NATIONAL PRESTO INDUSTRIES, INC.
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS****A. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:**

- (1) **USE OF ESTIMATES IN THE PREPARATION OF FINANCIAL STATEMENTS:** In preparation of the Company's Consolidated Financial Statements in conformity with accounting principles generally accepted in the United States, management is required to make estimates and assumptions that affect the reported amounts of assets and liabilities and related revenues and expenses. Actual results could differ from the estimates used by management.
- (2) **BASIS OF PRESENTATION:** The Consolidated Financial Statements include the accounts of National Presto Industries, Inc. and its subsidiaries, all of which are wholly-owned. All material intercompany accounts and transactions are eliminated. For a further discussion of the Company's business and the segments in which it operates, please refer to Note L.
- (3) **FAIR VALUE OF FINANCIAL INSTRUMENTS:** The Company utilizes the methods of determining fair value as described in Financial Accounting Standard Board ("FASB") Accounting Standard Codification ("ASC") 820, *Fair Value Measurements and Disclosures* to value its financial assets and liabilities. ASC 820 utilizes a three-tier fair value hierarchy which prioritizes the inputs used in measuring fair value. These tiers include: Level 1, defined as observable inputs such as quoted prices in active markets; Level 2, defined as inputs other than quoted prices in active markets that are either directly or indirectly observable; and Level 3, defined as unobservable inputs in which little or no market data exists, therefore requiring an entity to develop its own assumptions.

The carrying amount for cash and cash equivalents, accounts receivable, notes receivable, accounts payable, line of credit, and certain accrued liabilities approximates fair value due to the immediate or short-term maturity of these financial instruments. The fair value of marketable securities are discussed in Note A(6).

- (4) **CASH, CASH EQUIVALENTS AND MARKETABLE SECURITIES:**

Cash and Cash Equivalents: The Company considers all highly liquid marketable securities with an original maturity of three months or less to be cash equivalents. Cash equivalents include money market funds. The Company deposits its cash in high quality financial institutions. The balances, at times, may exceed federally insured limits. Money market funds are reported at fair value determined using quoted prices in active markets for identical securities (Level 1, as defined by FASB ASC 820).

The Company's cash management policy provides for its bank disbursement accounts to be reimbursed on a daily basis. Checks issued but not presented to the bank for payment of \$6,603,000 and \$3,067,000 at December 31, 2025 and 2024, respectively, are included as reductions of cash and cash equivalents or book overdrafts in accounts payable, as appropriate.

[Table of Contents](#)

Marketable Securities: The Company has classified all marketable securities as available-for-sale which requires the securities to be reported at fair value, with unrealized gains and losses, net of tax, reported as a separate component of stockholders' equity.

At December 31, 2025 and 2024, cost for marketable securities was determined using the specific identification method. A summary of the amortized costs and fair values of the Company's marketable securities at December 31 is shown in the following table. All of the Company's marketable securities are classified as Level 2, as defined by FASB ASC 820, with fair values determined using significant other observable inputs, which include quoted prices in markets that are not active, quoted prices of similar securities, recently executed transactions, broker quotations, and other inputs that are observable.

	(In thousands)			
	MARKETABLE SECURITIES			
	Amortized Cost	Fair Value	Gross Unrealized Gains	Gross Unrealized Losses
<u>December 31, 2025</u>				
Certificates of Deposit	496	503	7	-
Total Marketable Securities	<u>\$ 496</u>	<u>\$ 503</u>	<u>\$ 7</u>	<u>\$ -</u>
 <u>December 31, 2024</u>				
Certificates of Deposit	4,965	5,010	45	-
Total Marketable Securities	<u>\$ 4,965</u>	<u>\$ 5,010</u>	<u>\$ 45</u>	<u>\$ -</u>

Proceeds from sales and maturities of marketable securities totaled \$4,477,000 in 2025, \$26,891,000 in 2024, and \$46,243,000 in 2023. There were no realized gross gains or losses related to sales of marketable securities during the years ended December 31, 2025, 2024 and 2023. Net unrealized gains (losses) included in other comprehensive income were (\$37,000), \$17,000 and \$158,000 before taxes for the years ended December 31, 2025, 2024, and 2023, respectively. No unrealized gains or losses were reclassified out of accumulated other comprehensive income during the same periods.

The contractual maturities of the marketable securities held at December 31, 2025 are as follows: \$496,000 within one year.

- (5) **ACCOUNTS RECEIVABLE:** The Company's accounts receivable is related to sales of products. Credit is extended based on prior experience with the customer and evaluation of customers' financial condition. Accounts receivable are primarily due within 25 to 60 days. The Company does not accrue interest on past due accounts receivable. Receivables are written off only after all collection attempts have failed and are based on individual credit evaluation and the specific circumstances of the customer. The Company maintains an allowance for estimated expected credit losses resulting from the inability of customers to meet their financial obligations to the Company. The allowance is determined based on the Company's historical collection experience, adverse situations that may affect the customer's ability to pay, and prevailing economic conditions. The Company also maintains an allowance for customer chargebacks, which is determined based on the Company's historical experience with customers.
- (6) **INVENTORIES:** Housewares/Small Appliance and Safety segment finished goods inventories are stated at the lower of cost or market with cost being determined principally on the last-in, first-out (LIFO) method. Defense segment inventories are stated at the lower of cost and net realizable value determined principally on the first-in, first-out (FIFO) method. Inventoried costs relating to contracts in progress are stated at actual production costs, including factory overhead, initial tooling, and other related costs incurred to date, reduced by amounts associated with recognized sales, utilizing a standard costing type method. The Company evaluates inventories to determine if there are any excess or obsolete inventories on hand.

[Table of Contents](#)

- (7) **PROPERTY, PLANT AND EQUIPMENT:** Property, plant and equipment are stated at cost. Straight-line depreciation is primarily provided in amounts sufficient to charge the costs of depreciable assets to operations over their service lives which are estimated at 15 to 40 years for buildings, 3 to 10 years for machinery and equipment, and 15 to 20 years for land improvements. The Company reviews long-lived assets consisting principally of property, plant, and equipment, for impairment when material events and changes in circumstances indicate the carrying value may not be recoverable. As of December 31, 2025, net property, plant and equipment included \$5,855,000 related to leased manufacturing and office space. See Note M. Approximately \$558,000 and \$5,354,000 of construction in progress in the Company's Defense segment is presented on the Consolidated Balance Sheet as Buildings, at December 31, 2025 and 2024, respectively.

Depreciation expense was \$3,621,000, \$3,531,000, and \$4,372,000 during the years ended December 31, 2025, 2024, and 2023, respectively.

- (8) **GOODWILL:** The Company recognizes the excess cost of acquired entities over the net amount assigned to the fair value of assets acquired and liabilities assumed as goodwill. Goodwill is tested for impairment on an annual basis at the start of the fourth quarter and between annual tests whenever an impairment is indicated, such as the occurrence of an event that would more likely than not reduce the fair value of the reporting unit below its carrying amount. Impairment losses are recognized when the carrying value of the reporting unit is greater than the fair value of the reporting unit. There was no goodwill impairment recognized during 2025, 2024, and 2023. Total accumulated goodwill impairment losses were \$3,382,000 as of December 31, 2025.

The Company's goodwill was \$19,433,000 as of December 31, 2025 and 2024, all of which related to the Defense segment, \$7,948,000 of which is non-deductible for income tax purposes. There have been no additions or impairments recognized for goodwill in the Defense segment for the years then ended.

[Table of Contents](#)

- (9) **INTANGIBLE ASSETS:** Intangible assets are attributable to the Defense and Safety segments, primarily consist of the value of contracts/customer relationships, trademarks and safety certifications, trade secrets, and technology software, and are amortized on a straight-line basis that approximates economic use, over periods ranging from 2 to 15 years with the exception of trade secrets which have an indefinite life.

Intangible assets are evaluated for impairment whenever events or changes in circumstances indicate that the carrying amount of the assets may not be recoverable. The Company utilizes discounted cash flow models to determine their fair values. There was no impairment of intangible assets recognized during 2025 and 2024.

The following shows the gross carrying amounts of the intangible assets and accumulated amortization at December 31, 2025 and 2024:

(In thousands)				
INTANGIBLE ASSETS				
	Technology Software and Other	Contracts/ Customer Relationships	Trade Secrets	Total
December 31, 2025				
Gross Carrying Amount	\$ 290	\$ 6,058	\$ 1,000	\$ 7,348
Accumulated Amortization	(290)	(4,796)	-	(5,086)
Net intangible assets	<u>\$ -</u>	<u>\$ 1,262</u>	<u>\$ 1,000</u>	<u>\$ 2,262</u>
December 31, 2024				
Gross Carrying Amount	\$ 290	\$ 6,058	\$ 1,000	\$ 7,348
Accumulated Amortization	(290)	(3,281)	-	(3,571)
Net intangible assets	<u>\$ -</u>	<u>\$ 2,777</u>	<u>\$ 1,000</u>	<u>\$ 3,777</u>

The Company estimates it will record amortization expense for the succeeding years as follows:

Years ending December 31:	(In thousands)
2026	<u>\$ 1,262</u>
	<u>\$ 1,262</u>

Amortization expense was \$1,515,000, \$1,515,000, and \$1,635,000 during the years ended December 31, 2025, 2024, and 2023, respectively.

- (10) **OTHER ASSETS:** Other assets includes prepayments and deposits that are made from time to time by the Company for certain materials used in the manufacturing process in the Housewares/Small Appliance and Safety segments. As of December 31, 2025 and 2024, \$2,009,000 and \$2,929,000 of such prepayments, respectively, remained unused and outstanding, and are included in Other Current Assets, representing the Company's best estimate of the expected utilization of the prepayments and related materials during the twelve-month periods following those dates.

[Table of Contents](#)

- (11) REVENUES: The Company's revenues are derived from short-term contracts and programs that are typically completed within 3 to 42 months and are recognized in accordance with ASC Topic 606, *Revenue from Contracts with Customers*. The Company's contracts generally contain one or more performance obligations: the physical delivery of distinct ordered product or products. The Company provides an assurance type product warranty on its products to the original owner. In addition, for the Housewares/Small Appliances segment, the Company estimates returns of seasonal products and returns of newly introduced products sold with a return privilege. Stand-alone selling prices are set forth in each contract and are used to allocate revenue to the corresponding performance obligations. For the Housewares/Small Appliances segment, contracts include variable consideration, as the prices are subject to customer allowances, which principally consist of allowances for cooperative advertising, defective product, and trade discounts. Customer allowances are generally allocated to the performance obligations based on budgeted rates agreed upon with customers, as well as historical experience, and yield the Company's best estimate of the expected value for the variable consideration.

The Company's contracts in the Defense segment are primarily with the U.S. Department of Defense (DOD) and DOD prime contractors. As a consequence, this segment's business essentially depends on the product needs and governmental funding of the DOD. Substantially all of the work performed by the Defense segment directly or indirectly for the DOD is performed on a fixed-price basis. Under fixed-price contracts, the price paid to the contractor is awarded based on competition or negotiation at the outset of the contract and therefore, with the exception of limited escalation provisions on specific materials, is generally not subject to any adjustments reflecting the actual costs incurred by the contractor.

For the Housewares/Small Appliance and Safety segments, revenue is generally recognized as the completed, ordered product is shipped to the customer from the Company's warehouses. For the situations in which revenue should be recognized when product is received by the customer, the Company adjusts revenue accordingly. For the Defense segment, revenue is primarily recognized when the customer has legal title and formally documents that it has accepted the products. There are also certain termination clauses in Defense segment contracts that may give rise to an over-time pattern of recognition of revenue in the absence of alternative use of the product.

The timing of revenue recognition, billings, and cash collections results in billed accounts receivable, and customer advances and deposits (contract liabilities) on the Company's Consolidated Balance Sheets. For the Defense segment, the Company occasionally receives advances or deposits from certain customers before revenue is recognized, resulting in contract liabilities. These advances or deposits do not represent a significant financing component. As of December 31, 2025 and 2024, \$9,230,000 and \$7,345,000, respectively, of contract liabilities were included in Accrued Liabilities on the Company's Consolidated Balance Sheets. During 2025, 2024, and 2023, the Company recognized revenue of \$7,110,000, \$9,564,000 and \$326,000, respectively, that was included in the Defense segment contract liability at the beginning of those respective years. The Company monitors its estimates of variable consideration, which includes customer allowances for cooperative advertising, defective product, and trade discounts, and returns of seasonal and newly introduced product, all of which pertain to the Housewares/Small Appliances segment, and periodically makes cumulative adjustments to the carrying amounts of these contract liabilities as appropriate. During 2025, 2024, and 2023, there were no material adjustments to the aforementioned estimates. There were no material amounts of revenue recognized during the same periods related to performance obligations satisfied in a previous period. The portion of contract transaction prices allocated to unsatisfied performance obligations, also known as the contract backlog, in the Company's Defense segment were \$1,747,809,000 and \$1,085,612,000 as of December 31, 2025 and 2024, respectively. The Company anticipates that the unsatisfied performance obligations will be fulfilled in an 18- to 42-month period. The performance obligations in the Housewares/Small Appliances and Safety segments have original expected durations of less than one year.

The Company's principal sources of revenue are derived from two segments: Housewares/Small Appliance and Defense, as shown in Note L. Management utilizes the performance measures by segment to evaluate the financial performance of and make operating decisions for the Company.

- (12) ADVERTISING: The Company's policy is to expense advertising as incurred and include it in selling and general expenses. Advertising expense was \$73,000, \$251,000 and \$226,000 in 2025, 2024, and 2023, respectively.

[Table of Contents](#)

- (13) **PRODUCT WARRANTY:** The Company's Housewares/Small Appliance segment's products are generally warranted to the original owner to be free from defects in material and workmanship for a period of 1 to 12 years from date of purchase. The Company allows a 60-day over-the-counter initial return privilege through cooperating dealers. The Company services its products through a corporate service repair operation. The Company estimates its product warranty liability based on historical percentages which have remained relatively consistent over the years.

The product warranty liability is included in accounts payable on the balance sheet. The following table shows the changes in product warranty liability for the period:

	(In thousands)	
	Year Ended December 31	
	2025	2024
Beginning balance January 1	\$ 88	\$ 366
Accruals during the period	3,670	1,021
Charges / payments made under the warranties	(3,271)	(1,299)
Balance December 31	<u>\$ 487</u>	<u>\$ 88</u>

- (14) **STOCK-BASED COMPENSATION:** The Company accounts for stock-based compensation in accordance with ASC 718, *Compensation — Stock Compensation*. Under the fair value recognition provisions of ASC 718, stock-based compensation cost is measured at the grant date based on the fair value of the award and is recognized as expense ratably over the requisite service period, net of estimated forfeitures. As more fully described in Note F, the Company awards non-vested restricted stock to employees and executive officers.
- (15) **INCOME TAXES:** Deferred income tax assets and liabilities are recognized for the differences between the financial and income tax reporting bases of assets and liabilities based on enacted tax rates and laws. The deferred income tax provision or benefit generally reflects the net change in deferred income tax assets and liabilities during the year. The current income tax provision reflects the tax consequences of revenues and expenses currently taxable or deductible on various income tax returns for the year reported. Valuation allowances are provided for deferred tax assets when it is considered more likely than not that the Company will not realize the benefit of such assets. Income tax contingencies are accounted for in accordance with FASB ASC 740, *Income Taxes*. See Note H for summaries of the provision, the effective tax rates, and the tax effects of the cumulative temporary differences resulting in deferred tax assets and liabilities. The Company evaluates its uncertain tax positions as new information becomes available.
- (16) **RECENTLY ISSUED AND ADOPTED ACCOUNTING PRONOUNCEMENTS:** The Company assesses the impacts of adopting recently issued accounting standards by the Financial Accounting Standards Board on the Company's financial statements, and updates previous assessments, as necessary, from the Company's Yearly Report on Form 10-K for the year ended December 31, 2025.

In December 2023, the FASB issued ASU 2023-09, *Income Taxes (Topic 740): Improvements to Income Tax Disclosures*, which requires disaggregated information about a company's effective tax rate reconciliation and provision for income taxes, as well as information on income taxes paid. ASU 2023-09 is effective for public business entities for annual periods beginning after December 15, 2024. The Company adopted this ASU during the year ended December 31, 2025, resulting in additional income tax disclosures.

In November 2024, the FASB issued ASU 2024-03, *Income Statement—Reporting Comprehensive Income—Expense Disaggregation Disclosures (Subtopic 220-40): Disaggregation of Income Statement Expenses*, which requires disaggregated disclosure of income statement expenses for public business entities. ASU 2024-03 does not change the expense captions an entity presents on the face of the income statement; rather, it requires disaggregation of certain expense captions into specified categories in disclosures within the footnotes to the financial statements. As revised by ASU No. 2025-01, *Income Statement—Reporting Comprehensive Income—Expense Disaggregation Disclosures (Subtopic 220-40): Clarifying the Effective Date*, the provisions of ASU 2024-03 are effective for fiscal years beginning after December 15, 2026, and interim periods within fiscal years beginning after December 15, 2027, with early adoption permitted. With the exception of expanding disclosures to include more granular income statement expense categories, the Company does not expect the adoption of ASU 2024-03 will have a material effect on its consolidated financial statements taken as a whole.

F- 11

[Table of Contents](#)
B. INVENTORIES:

The amount of inventories valued on the LIFO basis was \$31,493,000 and \$35,301,000 as of December 31, 2025 and 2024, respectively, and consists of Housewares/Small Appliance finished goods, as well as, certain Safety segment inventories as of December 31, 2025. Under LIFO, inventories are valued at approximately \$12,827,000 and \$6,901,000 below current cost determined on a first-in, first-out (FIFO) basis at December 31, 2025 and 2024, respectively. During the years ended December 31, 2025, 2024, and 2023, \$4,199,000, \$703,000 and \$3,575,000, respectively, of LIFO layers were liquidated. The Company uses the LIFO method of inventory accounting to improve the matching of costs and revenues for the Housewares/Small Appliance and Safety segments.

The following table describes that which would have occurred if LIFO inventories had been valued at current cost determined on a FIFO basis:

Increase (Decrease) – (In thousands, except per share data)				
Year	Cost of Sales	Net Earnings	Earnings Per Share	
2025	\$ (5,926)	\$ 4,735	\$	0.66
2024	\$ 2,576	\$ (2,053)	\$	(0.29)
2023	\$ (228)	\$ 186	\$	0.03

This information is provided for comparison with companies using the FIFO basis.

Inventory for the Defense segment, certain products for the Safety segment, and raw materials and certain prepaid products of the Housewares/Small Appliance segment are valued under the FIFO method and total \$275,480,000 and \$242,699,000 at December 31, 2025 and 2024, respectively. At December 31, 2025, the FIFO total was comprised of \$779,000 of finished goods, \$249,741,000 of work in process, and \$24,960,000 of raw material. At December 31, 2024, the FIFO total was comprised of \$3,051,000 of finished goods, \$219,154,000 of work in process, and \$20,494,000 of raw material.

C. ACCRUED LIABILITIES:

At December 31, 2025, accrued liabilities consisted of payroll \$8,532,000, contract liabilities \$9,230,000 (see Note A(13)), product liability \$5,029,000, payroll taxes \$293,000, environmental \$925,000, and other \$847,000. At December 31, 2024, accrued liabilities consisted of payroll \$9,761,000, contract liabilities \$7,345,000 (see Note A(13)), product liability \$4,982,000, payroll taxes \$361,000, environmental \$925,000, and other \$1,192,000.

The Company is self-insured for health care costs, although it does carry stop loss and other insurance to cover health care claims once they reach a specified threshold. The Company is also subject to product liability claims in the normal course of business. It is partly self-insured for product liability claims, and therefore records an accrual for known claims and estimated incurred but unreported claims in the Company's Consolidated Financial Statements. The Company utilizes historical trends and other analysis to assist in determining the appropriate accrual. An increase in the number or magnitude of claims could have a material impact on the Company's financial condition and results of operations. The Company's policy is to accrue for legal fees expected to be incurred in connection with loss contingencies. See Note K for a discussion of environmental remediation liabilities.

D. TREASURY STOCK:

As of December 31, 2025, the Company has authority from the Board of Directors to reacquire an additional 495,030 shares. During 2025, 2024, and 2023, 1,567, 415, and 569 shares, respectively, were acquired from participants in the Company's Incentive Compensation Plans described in Note F to cover those participants' tax withholding obligations related to vested stock grants in accordance with the Plans' rules. Treasury shares have been used for stock based compensation and to fund a portion of the Company's 401(k) contributions.

[Table of Contents](#)
E. NET EARNINGS PER SHARE:

Basic earnings per share is based on the weighted average number of common shares and participating securities outstanding during the period. Diluted earnings per share also includes the dilutive effect of additional potential common shares issuable. Unvested stock awards, which contain non-forfeitable rights to dividends, whether paid or unpaid ("participating securities"), are included in the number of shares outstanding for both basic and diluted earnings per share calculations.

F. STOCK-BASED COMPENSATION:

The Company, from time to time, enters into separate non-vested share-based payment arrangements with employees and executive officers under the Incentive Compensation Plan approved by stockholders on May 18, 2010 and the 2017 Incentive Compensation Plan approved by shareholders on May 16, 2017, which authorized 50,000 and 150,000 shares, respectively, to be available for grants. The 2017 plan replaced the original 2010 plan, and the shares remaining under the 2010 plan are no longer available for grant. The Compensation Committee of the Company's Board of Directors approves all stock-based compensation awards for employees and executive officers of the Company. The Company grants restricted stock that is subject to continued employment and vesting conditions, but has dividend and voting rights, and uses the fair-market value of the Company's common stock on the grant date to measure the fair value of the awards. The fair value of restricted stock is recognized as expense ratably over the requisite service period, net of estimated forfeitures.

During 2025, 2024, and 2023, the Company granted 7,444 shares, 4,228 shares, and 1,487 shares of restricted stock, respectively, to 30 employees and executive officers of the Company. Unless otherwise vested early in accordance with the Incentive Compensation Plans, the restricted stock vests on specified dates in 2026 through 2030, subject to the recipients' continued employment or service through each applicable vesting date.

The Company recognized pre-tax compensation expense in the Consolidated Statements of Comprehensive Income related to stock-based compensation of \$575,000, \$491,000, and \$613,000 in 2025, 2024, and 2023, respectively. As of December 31, 2025, there was approximately \$1,127,000 of unrecognized compensation cost related to the restricted stock awards that is expected to be recognized over a weighted-average period of 3.3 years. There were 7,844, 3,234, and 4,109 shares of restricted stock that vested during 2025, 2024, and 2023, respectively.

The following table summarizes the activity for non-vested restricted stock:

	2025		2024		2023	
	Shares	Weighted Average Fair Value at Grant Date	Shares	Weighted Average Fair Value at Grant Date	Shares	Weighted Average Fair Value at Grant Date
Non-vested at beginning of period	30,665	\$ 83.60	29,671	\$ 88.37	32,336	\$ 89.49
Granted	7,444	99.97	4,228	78.78	1,487	77.03
Vested	(7,844)	89.75	(3,234)	121.11	(4,109)	68.46
Forfeited	-	-	-	-	(43)	93.29
Non-vested at end of period	30,265	\$ 86.03	30,665	\$ 83.60	29,671	\$ 88.37

G. 401(K) PLAN:

The Company sponsors a 401(k) retirement plan that covers substantially all non-union employees. Historically, the Company matched up to 50% of the first 4% of salary contributed by employees to the plan. This matching contribution was made with common stock. Starting in 2004, the Company began to match, in cash, an additional 50% of the first 4% of salary contributed by employees plus 3% of total compensation for certain employees. Contributions made from treasury stock, including the Company's related cash dividends, totaled \$1,129,000 in 2025, \$1,417,000 in 2024, and \$1,292,000 in 2023. In addition, the Company made cash contributions of \$1,074,000 in 2025, \$978,000 in 2024, and \$936,000 in 2023 to the 401(k) Plan. The Company also contributed \$387,000, \$392,000, and \$417,000 to the 401(k) retirement plan covering its union employees at the Amron Division of the AMTEC subsidiary during the years ended December 31, 2025, 2024, and 2023, respectively.

[Table of Contents](#)**H. INCOME TAXES:**

The following table summarizes the provision for income taxes:

	For Years Ended December 31 (in thousands)		
	2025	2024	2023
Current:			
Federal	\$ 592	\$ 12,299	\$ 9,314
State	702	1,439	(252)
	<u>1,294</u>	<u>13,738</u>	<u>9,062</u>
Deferred:			
Federal	7,350	(4,486)	(1,509)
State	391	(42)	319
	<u>7,741</u>	<u>(4,528)</u>	<u>(1,190)</u>
Total tax provision	<u>\$ 9,035</u>	<u>\$ 9,210</u>	<u>\$ 7,872</u>

The income taxes paid (net of refunds received) by the Company are as follows:

	For Years Ended December 31 (in thousands)		
	2025	2024	2023
Federal	\$ 9,080	\$ 11,420	\$ 6,710
State	1,083	530	109
Foreign	21	21	18
Total income taxes paid (net of refunds received)	<u>\$ 10,184</u>	<u>\$ 11,971</u>	<u>\$ 6,837</u>

The amount of income taxes paid (net of refunds received) did not exceed 5 percent of total income taxes paid (net of refunds received) in any state or foreign jurisdiction for the years ended December 31, 2025, 2024 and 2023.

The effective rate of the provision for income taxes on earnings before income taxes as shown in the Consolidated Statements of Comprehensive Income differs from the applicable statutory federal income tax rate for the following reasons:

	Percent of Pre-tax Income					
	2025		2024		2023	
	Amount (in thousands)	Percent	Amount (in thousands)	Percent	Amount (in thousands)	Percent
U.S. federal statutory tax rate	\$ 8,845	21.0%	\$ 10,641	21.0%	\$ 8,911	21.0%
State and local income taxes, net of federal income tax effect (a)	988	2.3%	1,493	2.9%	404	0.9%
Tax credits						
Research and development tax credits	(449)	(1.1%)	(474)	(0.9%)	(567)	(1.3%)
Changes in unrecognized tax benefits	(494)	(1.2%)	(891)	(1.8%)	(481)	(1.1%)
Other adjustments						
Adjustments for prior year estimates	160	0.4%	(1,451)	(2.9%)	(274)	(0.6%)
Other	(15)	0.0%	(108)	(0.2%)	(121)	(0.3%)
Effective tax rate	<u>\$ 9,035</u>	<u>21.4%</u>	<u>\$ 9,210</u>	<u>18.1%</u>	<u>\$ 7,872</u>	<u>18.6%</u>

(a) State taxes in Mississippi and Arkansas for 2025 and Mississippi and Wisconsin for 2024 and 2023 made up the majority (greater than 50 percent) of the tax effect of this category.

[Table of Contents](#)

Deferred tax assets and liabilities are recorded based on the differences between the tax basis of assets and liabilities and their carrying amounts for financial reporting purposes. The tax effects of the cumulative temporary differences resulting in deferred tax assets and liabilities are as follows at December 31:

	(In thousands)	
	2025	2024
Deferred tax assets		
State NOL and tax credit carryforwards	\$ 2,370	\$ 2,091
Lease liabilities	2,107	2,286
Vacation	1,004	979
Inventory	994	3,215
Insurance (primarily product liability)	968	1,089
Research and development expenses	-	5,630
Other	917	981
Subtotal	8,360	16,271
Less: valuation allowance	1,839	1,599
Total deferred tax assets	<u>6,521</u>	<u>14,672</u>
Deferred tax liabilities		
Right-to-use lease asset	2,107	2,286
Goodwill and other intangibles	1,256	1,469
Depreciation	562	581
Deferred revenue	2	9
Total deferred tax liabilities	<u>3,927</u>	<u>4,345</u>
Net deferred tax assets	<u>\$ 2,594</u>	<u>\$ 10,327</u>

Management assesses the available positive and negative evidence to estimate whether sufficient future taxable income will be generated to permit use of the existing deferred tax assets. The Company believes it is more likely than not that the benefit from certain state NOL and tax credit carryforwards will not be realized. A significant factor of objective negative evidence evaluated was the cumulative losses incurred in the Safety segment over the three-year period ended December 31, 2025. Such objective evidence limits the ability to consider subjective evidence, such as projections for future growth.

On the basis of this evaluation, as of December 31, 2025 and 2024, valuation allowances of \$1,839,000 and \$1,599,000, respectively, have been provided on the deferred tax assets related to these state NOL and tax credit carryforwards, which will expire between 2034 and 2045. The amount of the deferred tax assets considered realizable, however, could be adjusted if estimates of future taxable income during the carryforward period are reduced or increased, or if objective negative evidence in the form of cumulative losses is no longer present and additional weight is given to subjective evidence such as projections for growth.

[Table of Contents](#)

The Company establishes tax reserves in accordance with FASB ASC 740, *Income Taxes*. The following is a reconciliation of the Company's unrecognized tax benefits for the years ended December 31, 2025 and 2024:

	(In thousands)	
	2025	2024
Balance at January 1	\$ 2,122	\$ 2,481
Increases for tax positions taken related to the current year	352	694
Increases (decrease) for tax positions taken related to prior years	(299)	(51)
Lapse of statute of limitations	(332)	(1,002)
Balance at December 31	<u>\$ 1,843</u>	<u>\$ 2,122</u>

The ending net unrecognized tax benefits results from adjusting the gross balance for deferred tax items, interest and penalties, and deductible taxes. The net unrecognized tax benefits are included in Deferred Income Taxes and Federal and State Income Taxes - Non-current within the Consolidated Balance Sheet.

It is the Company's practice to include tax related interest expense, interest income, and penalties in tax expense. During the years ended December 31, 2025, 2024 and 2023, the Company accrued approximately \$137,000, \$129,000 and \$166,000 in interest expense, respectively.

The Company is subject to U.S. federal income tax as well as income taxes of multiple states. Tax years 2022 through 2024 are currently open for examination. For all states in which it does business, the Company is subject to state audit statutes.

I. COMMITMENTS AND CONTINGENCIES:

The Company is involved in largely routine litigation incidental to its business. Management believes the ultimate outcome of this litigation will not have a material effect on the Company's consolidated financial position, liquidity, or results of operations.

J. CONCENTRATIONS:

In the Housewares/Small Appliance segment, there were no customer concentrations over 10% for the year ended December 31, 2025. There was one customer that accounted for 10% of consolidated net sales for the year ended December 31, 2024. The same customer accounted for 11% of consolidated net sales for the year ended December 31, 2023.

The Company sources most of its housewares/small appliances and certain safety products from vendors in the Orient and, as a result, risks deliveries from the Orient being disrupted by labor or supply problems at the vendors, or transportation delays. Should such problems or delays materialize, products might not be available in sufficient quantities during prime selling periods. The Company has made and will continue to make every reasonable effort to prevent these problems; however, there is no assurance that its efforts will be totally effective. As the majority of the Housewares/Small Appliance segment's and certain Safety segment's suppliers are located in China, periodic changes in the U.S. dollar and Chinese Renminbi (RMB) exchange rates do have an impact on the segment's product costs. To date, any material impact from fluctuations in the exchange rate has been to the cost of products secured via purchase orders issued subsequent to the currency value change. Foreign transaction gains/losses are immaterial to the financial statements for all years presented.

The Company's Defense segment manufactures products primarily for the DOD and DOD prime contractors. As a consequence, this segment's future business essentially depends on the product needs and governmental funding of the DOD. During 2025, 2024, and 2023, substantially all of the work performed by this segment directly or indirectly for the DOD was performed on a fixed-price basis. Under fixed-price contracts, the price paid to the contractor is awarded based on competition or negotiation at the outset of the contract and therefore, with the exception of limited escalation provisions on specific materials, is generally not subject to any adjustments reflecting the actual costs incurred by the contractor. In addition, in the case of the 40mm systems contract, key components and services are provided by third party subcontractors, several of which the segment is required to work with by government edict. Under the contract, the segment is responsible for the performance of those subcontractors, many of which it does not control. The Defense segment's contracts and subcontracts contain the customary provision permitting termination at any time for the convenience of the government, with payment for any work completed, associated profit, and inventory/work in process at the time of termination. Materials used in the Defense segment are available from multiple sources. As of December 31, 2025, 180 employees of Amron, or 15% of the Company's and its subsidiaries' total workforce, are members of the United Steel Workers union. The most recent contract between Amron and the union is effective through February 28, 2030.

[Table of Contents](#)
K. ENVIRONMENTAL

In May 1986, the Company's Eau Claire, Wisconsin site was placed on the United States Environmental Protection Agency's National Priorities List under the Comprehensive Environmental Response, Compensation and Liability Act of 1980 because of hazardous waste deposited on the property. As of December 31, 1998, all remediation projects required at the Company's Eau Claire, Wisconsin site had been installed, were fully operational, and restoration activities had been completed. In addition, the Company is a member of a group of companies that may have disposed of waste into an Eau Claire area landfill in the 1960s and 1970s. After the landfill was closed, elevated volatile organic compounds were discovered in the groundwater. Remediation plans were established, and the costs associated with remediation and monitoring at the landfill are split evenly between the group and the city of Eau Claire. As of December 31, 2025, there does not appear to be exposure related to this site that would have a material impact on the operations or financial condition of the Company.

Based on factors known as of December 31, 2025, it is believed that the Company's existing environmental accrued liability reserve will be adequate to satisfy on-going remediation operations and monitoring activities both on- and off-site; however, should environmental agencies require additional studies, extended monitoring, or remediation projects, it is possible that the existing accrual could be inadequate. Management believes that in the absence of any unforeseen future developments, known environmental matters will not have any material effect on the results of operations or financial condition of the Company. The Company's environmental accrued liability on an undiscounted basis was \$925,000 as of December 31, 2025 and 2024, and is included in accrued liabilities on its balance sheet.

Expected future payments for environmental matters are as follows:

	<u>(In thousands)</u>
Years Ending December 31:	
2026	\$ 195
2027	133
2028	121
2029	108
2030	96
Thereafter	272
	<u>\$ 925</u>

[Table of Contents](#)**L. BUSINESS SEGMENTS:**

The Company operates in three business segments. The Company identifies its segments based on the Company's organization structure, which is primarily by principal products and is the way in which the Company's Chief Operating Decision Maker (CODM), the Company's CEO, makes operating decisions, assesses financial performance, and allocates resources. The principal product groups are Housewares/Small Appliance, Defense, and Safety. Sales for all segments are primarily to customers in North America.

The Housewares/Small Appliance segment designs, markets, and distributes housewares and small appliances. The housewares/small appliance products are sold primarily in the United States and Canada directly to retail outlets and also through independent distributors. As more fully described in Note J, the Company primarily sources its Housewares/Small Appliance products from non-affiliated suppliers located in the Orient. Sales are seasonal, with the normal peak sales period occurring in the fourth quarter of the year prior to the holiday season.

The Defense segment was started in 2001 with the acquisition of AMTEC Corporation, which manufactures precision mechanical and electromechanical assemblies for the U.S. Government and prime contractors. During 2005, and again during 2010, AMTEC Corporation was one of two prime contractors selected by the Army to supply all requirements for the 40mm family of practice and tactical ammunition cartridges for a period of five years. In 2016, AMTEC was awarded a one-year contract, and in 2017 and 2022, it was awarded third and fourth five-year contracts, respectively as the sole prime contractor. AMTEC's manufacturing plant is located in Janesville, Wisconsin. Since the inception of the Defense segment in 2001, the Company has expanded the segment by making several strategic business acquisitions, and has additional facilities located in East Camden, Arkansas; Antigo, Wisconsin; Clear Lake, South Dakota, and Marshall, Texas. During 2003, the segment was expanded with the acquisition of Spectra Technologies, LLC of East Camden, Arkansas. This facility performs Load, Assemble, and Pack (LAP) operations on ordnance-related products for the U.S. Government and prime contractors. During 2006, the segment was expanded again with the acquisition of certain assets of Amron, LLC of Antigo, Wisconsin, which primarily manufactures cartridge cases used in medium caliber (20-50mm) ammunition. During 2014, the Company continued the expansion of the Defense segment with the purchase of substantially all of the assets of Chemring Energetic Devices, Inc. located in Clear Lake, South Dakota, and all of the real property owned by Technical Ordnance Realty, LLC. The Clear Lake facility manufactures detonators, booster pellets, release cartridges, lead azide, and other military energetic devices and materials. During 2022, the Company again expanded the Defense segment by acquiring the equity interests of Woodlawn Manufacturing, Ltd. Woodlawn Manufacturing, Ltd. is a high volume manufacturer of precision metal parts and assemblies primarily for the defense and aerospace industry. See Note P. The Defense segment's collection of facilities enables the Company to deliver in virtually all aspects of the manufacture of medium caliber training and tactical rounds. Those aspects include the fuze, the detonator, the metal parts (including the cartridge case), and load, assemble and pack of the final round.

The Safety segment was started in 2019 with the acquisition of the assets of OneEvent Technologies, Inc., a business located in Mount Horeb, Wisconsin which focused on protection for buildings, homes, assets, and occupants using a cloud-based learning and an analytics engine that utilizes data from a series of sensing devices to predict, alert, and prevent. Upon purchase, it was combined with Rusoh, Inc. which designed and marketed fire extinguishers. Prior to 2019, Rusoh Inc. had been included in the Company's Housewares/Small Appliances segment. On July 29, 2022, certain assets were acquired and liabilities were assumed of Knox Safety, Inc., a startup business formed in 2019 with operations in Illinois and North Carolina. Knox Safety designed and sold carbon monoxide detectors for residential use. Subsequent to the acquisition, the acquiring entity legally adopted the corporate name Rely Innovations, Inc. and was added to the segment. Since its acquisition, the Company has introduced smoke detectors and fire extinguishers under the Rely name. To focus the direction of the segment's business, the Company divested the stock of Rusoh, Inc. on November 14, 2023 and certain assets of OneEvent related to its refrigeration monitoring business on July 31, 2025. The OneEvent intellectual property, however, has been retained.

The Company manages and assesses the performance of its reportable segments by their gross profit and operating profit. As part of the CODM's review of segment-level performance, the CODM reviews these measures of income of each reportable segment, which drives the evaluation of the performance of the Company's reportable segments and allocation of resources to those segments. The significant segment expense categories included in the table below augment the Company's understanding of operating results.

[Table of Contents](#)

In the following summary, operating profit represents earnings before other income and income taxes. The Company's segments operate discretely from each other with no shared owned or leased manufacturing facilities. Costs associated with corporate activities (such as cash and marketable securities management) and the assets associated with such activities are included within the Housewares/Small Appliance segment for all periods presented.

	(in thousands)			
	Housewares / Small			
	Appliance	Defense	Safety	Total
Year ended December 31, 2025				
External net sales	\$ 95,604	\$ 405,937	1,983	\$ 503,524
Cost of sales	88,015	328,293	6,891	423,199
Gross profit (loss)	7,589	77,644	(4,908)	80,325
Selling and general expenses (1)	13,130	15,354	3,763	32,247
Depreciation and amortization	1,050	3,907	179	5,136
Operating profit (loss)	(9,292)	58,383	(8,850)	40,241
Total assets	100,070	394,392	6,267	500,729
Capital expenditures	23,231	1,066	36	24,333
Year ended December 31, 2024				
External net sales	\$ 102,799	\$ 284,025	1,404	\$ 388,228
Cost of sales	77,321	225,852	6,489	309,662
Gross profit (loss)	25,478	58,173	(5,085)	78,566
Selling and general expenses (1)	11,928	11,383	4,996	28,307
Depreciation and amortization	948	3,937	161	5,046
Operating profit (loss)	12,602	42,853	(10,242)	45,213
Total assets	115,717	330,892	6,788	453,397
Capital expenditures	212	7,253	66	7,531
Year ended December 31, 2023				
External net sales	\$ 97,619	\$ 241,703	1,590	\$ 340,912
Cost of sales	77,752	189,700	6,008	273,460
Gross profit (loss)	19,867	52,003	(4,418)	67,452
Selling and general expenses (1)	11,485	9,082	5,845	26,412
Depreciation and amortization	1,030	4,635	342	6,007
Operating profit (loss)	7,352	38,286	(10,605)	35,033
Total assets	191,902	242,272	6,362	440,536
Capital expenditures	488	1,168	184	1,840

(1) Excluding depreciation and amortization.

[Table of Contents](#)**M. LEASES**

The Company accounts for leases under ASC *Topic 842, Leases*. The Company's leasing activities include roles as both lessee and lessor. As lessee, the Company's primary leasing activities include buildings and structures to support its manufacturing operations at one location in its Defense segment, warehouse space and equipment to support its distribution center operations in its Housewares/Small Appliances segment, and office space to support its Safety segment's operations. As lessor, the Company's primary leasing activity is comprised of manufacturing and office space located adjacent to its corporate offices. All of the Company's leases are classified as operating leases.

The Company's leases as lessee in its Defense segment provide for variable lease payments that are based on changes in the Consumer Price Index. As lessor, the Company's primary lease also provides for variable lease payments that are also based on changes in the Consumer Price Index, as well as on increases in costs of insurance, real estate taxes, and utilities related to the leased space. Generally, all of the Company's lease contracts provide for options to extend and terminate them. The majority of lease terms of the Company's lease contracts recognized on the balance sheet reflect extension options, while none reflect early termination options.

The Company has determined that the incremental borrowing rates implicit in its leases are not readily determinable and estimates those rates utilizing quotes from financial institutions for real estate and equipment, as applicable, over periods of time similar to the terms of its leases. The Company has entered into various short-term leases as lessee and has elected a non-recognition accounting policy, as permitted by ASC *Topic 842*.

	Years Ending (In thousands)		
	2025	2024	2023
Summary of Lease Cost			
Operating lease cost	\$ 1,151	\$ 1,212	\$ 1,215
Short-term and variable lease cost	379	265	206
Total lease cost	<u>\$ 1,530</u>	<u>\$ 1,477</u>	<u>\$ 1,421</u>

Rent expense was approximately \$1,530,000, \$1,477,000, and \$1,421,000 for the years ended December 31, 2025, 2024, and 2023, respectively. Operating cash used for operating leases was \$1,530,000, \$1,477,000, and \$1,421,000 for the years ended December 31, 2025, 2024, and 2023, respectively. The weighted-average remaining lease term was 18.3 years, and the weighted-average discount rate was 4.7% as of December 31, 2025.

Maturities of operating lease liabilities are as follows:

Years ending December 31:	(In thousands)
2026	\$ 842
2027	814
2028	812
2029	757
2030	703
Thereafter	11,095
Total lease payments	<u>\$ 15,023</u>
Less: future interest expense	5,582
Lease liabilities	<u>\$ 9,441</u>

[Table of Contents](#)

Lease income from operating lease payments was \$2,351,000, \$2,283,000, \$2,281,000 for the years ended December 31, 2025, 2024, and 2023, respectively and is included in Other income on the Consolidated Statements of Comprehensive Income. Undiscounted cash flows provided by lease payments are expected as follows:

Years ending December 31:	(In thousands)
2026	\$ 2,321
2027	2,314
2028	2,314
2029	2,314
2030	2,314
Thereafter	13,884
Total lease payments	<u>\$ 25,461</u>

The Company considers risk associated with the residual value of its leased real property to be low, given the nature of the long-term lease agreement, the Company's ability to control the maintenance of the property, and the creditworthiness of the lessee. The residual value risk is further mitigated by the long-lived nature of the property, and the propensity of such assets to hold their value or, in some cases, appreciate in value.

N. INTERIM FINANCIAL INFORMATION (UNAUDITED):

The following represents quarterly unaudited financial information for 2025 and 2024:

Quarter	(In thousands, except per share data)			
	Net Sales	Gross Profit	Net Earnings	Per Share (basic and diluted)
				Net Earnings
2025				
First	\$ 103,639	\$ 18,111	\$ 7,610	\$ 1.07
Second	120,449	18,546	5,152	0.72
Third	115,463	16,012	5,317	0.74
Fourth	163,973	27,656	15,005	2.10
Total	<u>\$ 503,524</u>	<u>\$ 80,325</u>	<u>\$ 33,084</u>	<u>\$ 4.63</u>
2024				
First	\$ 76,653	\$ 13,853	\$ 6,568	\$ 0.92
Second	85,060	14,699	6,077	0.85
Third	91,823	17,223	8,083	1.13
Fourth	134,692	32,791	20,732	2.92
Total	<u>\$ 388,228</u>	<u>\$ 78,566</u>	<u>\$ 41,460</u>	<u>\$ 5.82</u>

Fourth quarter sales are impacted by the holiday driven seasonality of the Housewares/Small Appliance segment. This segment typically orders/purchases inventory during the first three quarters to meet the sales demand of the fourth quarter. The Defense and Safety segments are typically non-seasonal.

[Table of Contents](#)**O. LINE OF CREDIT AND COMMERCIAL LETTERS OF CREDIT**

The Company maintained an unsecured line of credit for short term operating cash needs of \$50,000,000 and \$10,000,000 as of December 31, 2025 and 2024, respectively. The amount outstanding was \$23,624,000 under this line of credit as of December 31, 2025, which expires September 30, 2026. There were no amounts outstanding under the line of credit as of December 31, 2024. The interest rate on the current line of credit resets monthly to the 30-day Secured Overnight Financing Rate (SOFR) plus one-and-one-quarter percent. The interest rate on the previous line of credit reset monthly to the 30-day SOFR plus one percent. In addition, the Company had one issued commercial letter of credit for \$1,500,000 and \$1,000,000 as of December 31, 2025 and 2024, respectively. As of December 31, 2025, the entire balance of the issued letter of credit had not been drawn upon.

P. IMPAIRMENT OF VENDOR DEPOSIT

During the quarter ended March 30, 2025, the Company made deposits totaling \$2,701,000 with a vendor in its Housewares/Small Appliances segment. On May 29, 2025, the vendor filed for protection in the U.S. Bankruptcy Court in the Northern District of Texas. As recovery of the deposit is deemed unlikely, the Company recorded an impairment of the full deposit during the quarter ended June 29, 2025. The deposit had been carried in Property, Plant and Equipment on the Company's balance sheet.

Q. SUBSEQUENT EVENTS

The Company evaluates events that occur through the filing date and discloses any material or significant events or transactions.

On February 20, 2026, the United States Supreme Court determined that tariffs imposed under the International Emergency Economic Powers Act ("IEEPA") were contrary to law. Any potential refunds, including the timing and amount thereof, remain uncertain and are dependent on further legal and administrative actions. In response to the ruling, the administration implemented new tariffs based on alternative statutory authorities, resulting in ongoing uncertainty regarding future tariff actions and their possible impact on the Company. The Company is continuing to monitor these developments and evaluate the potential effects on its business, financial condition, and results of operations.

On February 27, 2026, the Company's Board of Directors announced a regular dividend of \$1.00 per share, payable on March 20, 2026, to stockholders of record as of March 9, 2026.

[Table of Contents](#)**Report of Independent Registered Public Accounting Firm**

To the Shareholders and the Board of Directors of National Presto Industries, Inc.

Opinion on the Financial Statements

We have audited the accompanying consolidated balance sheets of National Presto Industries, Inc. and its subsidiaries (the Company) as of December 31, 2025 and 2024, the related consolidated statements of comprehensive income, stockholders' equity and cash flows for each of the three years in the period ended December 31, 2025, and the related notes to the consolidated financial statements and Schedule II (collectively, the financial statements). In our opinion, the financial statements present fairly, in all material respects, the financial position of the Company as of December 31, 2025 and 2024, and the results of its operations and its cash flows for each of the three years in the period ended December 31, 2025, in conformity with accounting principles generally accepted in the United States of America.

We have also audited, in accordance with the standards of the Public Company Accounting Oversight Board (United States) (PCAOB), the Company's internal control over financial reporting as of December 31, 2025, based on criteria established in *Internal Control — Integrated Framework* issued by the Committee of Sponsoring Organizations of the Treadway Commission in 2013, and our report dated March 13, 2026, expressed an unqualified opinion on the effectiveness of the Company's internal control over financial reporting.

Basis for Opinion

These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on the Company's financial statements based on our audits. We are a public accounting firm registered with the PCAOB and are required to be independent with respect to the Company in accordance with U.S. federal securities laws and the applicable rules and regulations of the Securities and Exchange Commission and the PCAOB.

We conducted our audits in accordance with the standards of the PCAOB. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement, whether due to error or fraud. Our audits included performing procedures to assess the risks of material misstatement of the financial statements, whether due to error or fraud, and performing procedures that respond to those risks. Such procedures included examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements. Our audits also included evaluating the accounting principles used and significant estimates made by management, as well as evaluating the overall presentation of the financial statements. We believe that our audits provide a reasonable basis for our opinion.

Critical Audit Matter

The critical audit matter communicated below is a matter arising from the current period audit of the financial statements that was communicated or required to be communicated to the audit committee and that: (1) relates to accounts or disclosures that are material to the financial statements and (2) involves our especially challenging, subjective or complex judgments. The communication of critical audit matters does not alter in any way our opinion on the financial statements, taken as a whole, and we are not, by communicating the critical audit matter below, providing separate opinions on the critical audit matter or on the accounts or disclosures to which it relates.

Revenue Recognition—Defense Segment Contracts

As described in Note A (11) and L to the financial statements, the Company's external net sales recognized for its Defense segment amounted to \$406 million for the year ended December 31, 2025. The Company's contracts in the Defense segment are primarily with the U.S. Department of Defense (DOD) and DOD prime contractors. The Company generally recognized revenue on these contracts at a point in time when the customer obtains legal title and formally documents that it has accepted the products. There are certain termination clauses in Defense segment contracts that could give rise to an over-time pattern of recognition of revenue in the absence of alternative use of the product. Significant judgment is required by management to conclude whether or not (i) the Company has an enforceable right to payment for its performance to date under the contract and (ii) the asset created by the Company's performance under the contract has an alternative use to the Company.

We identified the determination of whether control in Defense segment sales contracts transfers to the customer at a point in time or over time as a critical audit matter because of the significant assumptions and judgments made by management. Auditing management's assumptions and judgments regarding when control transfers involved a high degree of auditor judgment and an increased effort.

Our audit procedures related to management's determination of when control transfers to the customer in Defense segment sales contracts included the following, among others:

- We obtained an understanding of the relevant controls related to the timing of revenue recognition on Defense contracts and tested such controls for design and operating effectiveness, including management review controls related to the evaluation of relevant contract terms and conditions impacting whether revenue is recognized over time or at a point in time.
- We assessed the reasonableness of the timing of revenue recognition for a sample of revenue contracts through:
 - Reviewing contract terms, including evaluating whether the Company has an enforceable right to payment for its performance to date under the contract and whether contractual restrictions prohibit the Company from redirecting a completed asset to another customer.
 - Evaluating evidence that the assets created by the Company's performance under the contract have an alternative use by verifying sales of the same or similar products to other customers.
- We reviewed government contracts under ASC 606 to assist in the evaluation of management's assessment of positive and negative evidence and their conclusions of the timing of when control has been transferred to its customers under the contract.

/s/ RSM US LLP

We have served as the Company's auditor since 2021.

Milwaukee, Wisconsin
March 13, 2026

F-23

NATIONAL PRESTO INDUSTRIES, INC. AND SUBSIDIARIES

SCHEDULE II - VALUATION AND QUALIFYING ACCOUNTS

For the Years Ended December 31, 2025, 2024 and 2023

(In thousands)					
Column A	Column B	Column C		Column D	Column E
Description	Balance at Beginning of Period	Additions - Charged to Costs and Expenses (A)	Additions - Charged to Other Accounts (B)	Deductions (C)	Balance at End of Period
Deducted from assets:					
Allowance for doubtful accounts:					
Year ended December 31, 2025	\$ 217	\$ 66	\$ -	\$ 40	\$ 243
Year ended December 31, 2024	\$ 596	\$ (285)	\$ -	\$ 94	\$ 217
Year ended December 31, 2023	\$ 338	\$ 285	\$ -	\$ 27	\$ 596
Allowance for doubtful note receivable:					
Year ended December 31, 2025	\$ -	\$ -	\$ -	\$ -	\$ -
Year ended December 31, 2024	\$ -	\$ -	\$ -	\$ -	\$ -
Year ended December 31, 2023	\$ 7,615	\$ -	\$ -	\$ 7,615	\$ -
Valuation allowance for deferred tax assets:					
Year ended December 31, 2025	\$ 1,599	\$ 240			\$ 1,839
Year ended December 31, 2024	\$ 954	\$ 645	\$ -	\$ -	\$ 1,599
Year ended December 31, 2023	\$ 1,960	\$ 398	\$ -	\$ 1,404	\$ 954

Notes:

(A) Amounts charged to selling and general expenses or provision for income taxes from continuing operations.

(B) Amounts charged to other accounts.

(C) Principally bad debts written off, net of recoveries.